Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

---

## S24-F2-Q4 · question page 503

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

A founder plans to operate in a second state. What should she check?

**Answer: C.** Whether that state requires registering the LLC there too

Doing business in another state can require registration there.

- ✗ A. Whether to dissolve the first LLC: not required
- ✗ B. Whether her logo is popular in that state: unrelated
- ✗ D. Nothing; one state filing automatically covers every other state: not always

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

---

## S24-F2-Q5 · question page 504

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

Which statement is accurate?

**Answer: B.** Formation steps and fees vary by state.

Always check the specific state.

- ✗ A. Only federal law controls LLC formation.: state law controls
- ✗ C. LLCs never need a registered agent.: they usually do
- ✗ D. Every state has identical forms and fees.: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

---

## S25-M-Q1 · question page 506

ENT.LEGAL.07 · Identify what an operating agreement should cover

Which topic belongs in an operating agreement?

**Answer: A.** What happens if an owner wants to leave

Exit rules are a core part of an operating agreement.

- ✗ B. The menu for the office holiday party: not a governance topic
- ✗ C. The color scheme for the company website: branding detail
- ✗ D. Which social media app to post on first: marketing detail

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-M-Q2 · question page 507

ENT.LEGAL.07 · Identify what an operating agreement should cover

Who are the parties to an LLC's operating agreement?

**Answer: C.** The LLC's owners (members)

Members agree among themselves.

- ✗ A. The LLC's customers who buy its products: customers are not parties
- ✗ B. The bank that holds the business account: not a party
- ✗ D. The state that approved the LLC filing: the state is not a party

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-M-Q3 · question page 508

ENT.LEGAL.07 · Identify what an operating agreement should cover

When is the best time to write an operating agreement?

**Answer: D.** At the start, while owners agree

Calm early agreement prevents later disputes.

- ✗ A. Never, because it is always unnecessary: it is often valuable
- ✗ B. Only after a serious argument begins: too late for calm decisions
- ✗ C. Only if the business becomes very large: small businesses benefit too

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-M-Q4 · question page 509

ENT.LEGAL.07 · Identify what an operating agreement should cover

Two owners each own 50 percent. Which topic is especially important to settle?

**Answer: B.** How tie votes are broken

Equal ownership can lead to deadlocks.

- ✗ A. Which owner has the nicer handwriting: irrelevant
- ✗ C. Whose car is newer for deliveries: not governance
- ✗ D. Which font the invoices use: not governance

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-M-Q5 · question page 510

ENT.LEGAL.07 · Identify what an operating agreement should cover

Does a one-owner LLC ever benefit from an operating agreement?

**Answer: D.** Yes, it can

It documents how the LLC is run and can support the separation from the owner.

- ✗ A. Only if it has more than 100 employees: size is not the test
- ✗ B. Only if the owner changes the logo: unrelated
- ✗ C. No, never, under any circumstances at all: it can help

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-B1-Q1 · question page 511

ENT.LEGAL.07 · House rules for owners

An operating agreement is most like what?

**Answer: A.** Roommates' house rules

It sets rules for those who share something.

- ✗ B. A daily weather report: unrelated

✗ C. A movie ticket: unrelated

✗ D. A grocery list: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-B1-Q2 · question page 512

ENT.LEGAL.07 · House rules for owners

When are house rules easiest to write?

**Answer: A.** On move-in day

Early agreement is easier.

✗ B. During an argument: hardest

✗ C. Never: they help

✗ D. After someone moves out: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-B1-Q3 · question page 513

ENT.LEGAL.07 · House rules for owners

"What happens if someone moves out" matches which agreement topic?

**Answer: B.** An owner leaving the business

Exit rules cover an owner leaving.

✗ A. Website design: unrelated

✗ C. A list of product prices for the shop: unrelated

✗ D. Logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-B1-Q4 · question page 514

ENT.LEGAL.07 · House rules for owners

"Who pays which bills" matches what?

**Answer: D.** How money and responsibilities are shared

Money and duties are covered.

- ✗ A. Who designs the logo and the website: branding
- ✗ B. Who is the customer: unrelated
- ✗ C. Where to advertise: marketing

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-B1-Q5 · question page 515

ENT.LEGAL.07 · House rules for owners

"How to settle arguments" matches what?

**Answer: C.** Resolving disagreements between owners

Dispute rules are part of it.

- ✗ A. Hiring a designer for the brand and website: unrelated
- ✗ B. Raising prices: unrelated
- ✗ D. Choosing a domain: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F1-Q1 · question page 516

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A two-owner LLC agreement covers ownership and profit split only. What important gap remains?

**Answer: B.** What happens if an owner leaves or cannot work

Exit and incapacity rules are a major gap.

- ✗ A. Holiday decorations: minor
- ✗ C. Which printer brand to buy for the office: minor
- ✗ D. The office plant schedule: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

## S25-F1-Q2 · question page 517

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

Owners own 60 and 40 percent. Profits are 10,000 dollars, split by ownership. How much goes to the 40-percent owner?

**Answer: A.** 4,000 dollars

40 percent of 10,000 = 4,000 dollars.

- ✗ B. 400 dollars: decimal error
- ✗ C. 5,000 dollars: that is an equal split
- ✗ D. 6,000 dollars: that is the 60-percent share

Arithmetic checked by code: yes. Sources: none (stable)

## S25-F1-Q3 · question page 518

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

One owner does most of the daily work but owns 30 percent. What should the agreement make clear?

**Answer: C.** How work is paid separately from ownership

Ownership share and pay for work can be set separately.

- ✗ A. That work and pay never need to be discussed: causes disputes
- ✗ B. That ownership must always equal hours worked: not required
- ✗ D. That the hard worker gets nothing extra ever: may not be fair

Arithmetic checked by code: not applicable. Sources: none (stable)

## S25-F1-Q4 · question page 519

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

An agreement says big purchases need both owners' approval. Which purchase most clearly needs it?

**Answer: A.** A 20,000-dollar delivery van

A large purchase falls under the approval rule.

- ✗ B. A 3-dollar coffee: small
- ✗ C. A 5-dollar pack of pens: small
- ✗ D. A 10-dollar shipping label: small

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F1-Q5 · question page 520

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A new person wants to buy into the LLC. Where should the rules for adding owners be?

**Answer: D.** In the operating agreement

Admitting new members is a governance rule.

- ✗ A. In a customer invoice: unrelated
- ✗ B. On the company website: not binding
- ✗ C. In a social media post: not binding

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F2-Q1 · question page 521

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Two equal owners disagree on hiring and their agreement has no tie-break rule. What is a sensible step?

**Answer: A.** Use a mediator or add a tie-break process both accept

A neutral process helps resolve deadlocks.

- ✗ B. Ask customers to vote: not their role
- ✗ C. Stop all business forever: too extreme
- ✗ D. Let the louder owner decide every disagreement from now on: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F2-Q2 · question page 522

ENT.LEGAL.07 · Handle the complications: disagreements and changes

An owner wants to sell her share to an outsider. The agreement gives other owners first chance to buy. What should she do first?

**Answer: D.** Offer her share to the other owners as the agreement requires

Follow the agreed process.

- ✗ A. Sell to the outsider quietly without telling the other owners: breaks the agreement
- ✗ B. Dissolve the LLC immediately: not required
- ✗ C. Ignore the agreement because it is old: it still applies

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F2-Q3 · question page 523

ENT.LEGAL.07 · Handle the complications: disagreements and changes

A template agreement from the internet does not fit the owners' real arrangement. What is the risk?

**Answer: B.** It may not match what they actually agreed or state law

Agreements should fit the actual business and state rules.

- ✗ A. Templates are illegal: not illegal
- ✗ C. It automatically guarantees the owners lower taxes: no
- ✗ D. None; any template works: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F2-Q4 · question page 524

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Which detail should be checked before signing an operating agreement?

**Answer: C.** Whether it covers decisions, money, exits and disputes

Coverage of key topics matters most.

✗ A. Whether a competitor approves: not relevant

✗ B. Whether it is longer than ten pages, since longer is better: length is not the test

✗ D. Whether the font is attractive: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S25-F2-Q5 · question page 525

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Who can help write or review an operating agreement for a complex situation?

**Answer: D.** A business attorney

Legal documents benefit from legal review.

✗ A. A social media influencer: not legal

✗ B. A web developer: not legal

✗ C. A sign maker: not legal

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S26-M-Q1 · question page 527

ENT.LEGAL.08 · Explain what a DBA does and does not do

Maria Lopez sells cakes as "Sunny Bakes." What does a DBA filing let her do?

**Answer: A.** Operate under the name "Sunny Bakes"

A DBA registers a name the business uses.

✗ B. Turn her business into an LLC without other filings: a DBA does not create an entity

✗ C. Stop all others from using "Sunny Bakes" nationwide: no trademark rights

✗ D. Protect her house from business debts: no liability protection

Arithmetic checked by code: not applicable. Sources: uspto_name

## S26-M-Q2 · question page 528

ENT.LEGAL.08 · Explain what a DBA does and does not do

Does a DBA create a new legal entity?

**Answer: B.** No

A DBA is a name registration, not an entity.

- ✗ A. Yes, it creates a corporation: it does not
- ✗ C. Only for partnerships: it never does
- ✗ D. Yes, it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-M-Q3 · question page 529

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is another common term for a DBA?

**Answer: C.** Trade name

Trade name, assumed name and fictitious name are similar terms.

- ✗ A. Registered agent: a role
- ✗ B. Articles of organization: LLC formation papers
- ✗ D. Operating agreement: owners' agreement

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-M-Q4 · question page 530

ENT.LEGAL.08 · Explain what a DBA does and does not do

Where is a DBA filed?

**Answer: D.** It depends on the location: state, county or city

Filing location varies.

✗ A. Always with the IRS only, in every location: not typical

✗ B. Always with a bank: banks may ask for it but do not file it

✗ C. Never anywhere: many places require it

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-M-Q5 · question page 531

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is TRUE about a DBA?

**Answer: B.** It does not give liability protection.

A DBA is only a name registration.

✗ A. It replaces a business license.: separate requirement

✗ C. It gives trademark rights everywhere.: it does not

✗ D. It shields personal savings.: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-B1-Q1 · question page 532

ENT.LEGAL.08 · A name tag, not a new person

A DBA is most like what?

**Answer: D.** A name tag

It is just a name used publicly.

✗ A. A shield: no protection

✗ B. A trademark certificate: not trademark rights

✗ C. A new person: it is the same business

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-B1-Q2 · question page 533

ENT.LEGAL.08 · A name tag, not a new person

Robert wearing a "Coach Bob" tag is still who?

**Answer: A.** Robert

The name changes; the person does not.

- ✗ B. A company: no
- ✗ C. No one: he is Robert
- ✗ D. A new person named Bob: same person

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-B1-Q3 · question page 534

ENT.LEGAL.08 · A name tag, not a new person

Does a business with a DBA change its legal form?

**Answer: C.** No

The legal form stays the same.

- ✗ A. Yes, always: it does not
- ✗ B. Only for LLCs: never
- ✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-B1-Q4 · question page 535

ENT.LEGAL.08 · A name tag, not a new person

Does a DBA give special protection?

**Answer: D.** No

It is only a name.

- ✗ A. Yes, from lawsuits: no
- ✗ B. Yes, from debts: no
- ✗ C. Yes, from taxes: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-B1-Q5 · question page 536

ENT.LEGAL.08 · A name tag, not a new person

What does a DBA tell customers?

**Answer: B.** What name the business uses

It is the public-facing name.

- ✗ A. The owner's salary: unrelated
- ✗ C. Who the owner's doctor is: unrelated
- ✗ D. The bank balance: unrelated

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F1-Q1 · question page 537

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Lee, a sole proprietor, opens a bank account for "Lee's Lawns." The bank asks for a DBA certificate. Why?

**Answer: A.** The business name differs from Lee's legal name

Banks often require proof the business may use that name.

- ✗ B. Because banks issue DBAs: banks do not issue them
- ✗ C. Because a DBA replaces the owner's driver's license: no
- ✗ D. Because it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F1-Q2 · question page 538

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which business most likely needs a DBA?

**Answer: A.** "Green Path LLC" selling under the name "Fresh Bowls"

Using a different name usually needs a DBA where required.

- ✗ B. "Green Path LLC" selling only as "Green Path LLC": same as legal name
- ✗ C. Jane Smith selling as "Jane Smith": same as legal name
- ✗ D. A business with no name at all: unusual case

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F1-Q3 · question page 539

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A sole proprietor files a DBA to look more official. What does she still lack?

**Answer: D.** Liability protection

A DBA adds a name, not protection.

- ✗ A. Customers: unrelated
- ✗ B. Permission to sell: licenses are separate, but she has the name
- ✗ C. A business name to use: she has one

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F1-Q4 · question page 540

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A DBA filing costs 25 dollars and must be renewed every 5 years. Over a 15-year window (the first filing now plus renewals at years 5 and 10), how much is spent, assuming the same fee?

**Answer: A.** 75 dollars

3 filings x 25 dollars = 75 dollars (fees are example assumptions).

- ✗ B. 25 dollars: only the first filing
- ✗ C. 375 dollars: multiplies wrongly
- ✗ D. 15 dollars: not the fee

Arithmetic checked by code: yes. Sources: uspto_name

## S26-F1-Q5 · question page 541

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which step would actually give some liability protection?

**Answer: B.** Forming an LLC or corporation

Entity formation, not a DBA, aims at liability separation.

- ✗ A. Filing a DBA: no protection
- ✗ C. Buying a domain: no protection
- ✗ D. Ordering business cards with "LLC": no protection

Arithmetic checked by code: not applicable. Sources: uspto_name

## S26-F2-Q1 · question page 542

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

An owner believes his DBA means no one else can use "River Tees." What should he check?

**Answer: A.** Trademark records and whether anyone else already uses the name

A DBA does not give trademark rights.

- ✗ B. Only his domain registrar: not enough
- ✗ C. Nothing; the DBA protects the name everywhere in the nation: false
- ✗ D. Only his county website: not enough

Arithmetic checked by code: not applicable. Sources: uspto_name

## S26-F2-Q2 · question page 543

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A business uses a DBA in two counties. What should the owner check?

**Answer: B.** Whether each county requires its own filing

Filing rules vary by place.

✗ A. Whether the logo needs a DBA: no

✗ C. Whether one filing covers every country in the world: no

✗ D. Whether DBAs are illegal: they are legal

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F2-Q3 · question page 544

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A customer contract is signed only as "Fresh Bowls" with no legal name. What is the risk?

**Answer: C.** Confusion about which legal entity is responsible

Showing the legal name with the DBA reduces confusion.

✗ A. None at all: confusion is possible

✗ B. It cancels the DBA: no

✗ D. Signing as Fresh Bowls creates a new LLC called Fresh Bowls: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F2-Q4 · question page 545

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A founder plans: "File DBA, then sell food from home." What else must be checked?

**Answer: D.** Licenses, permits and local rules for selling food

Selling food usually involves separate rules; a DBA is only a name.

✗ A. Only the font and layout of the printed DBA certificate: no

✗ B. Nothing; the DBA is enough: no

✗ C. Only competitor prices: not the key gap

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S26-F2-Q5 · question page 546

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

Which statement is accurate?

**Answer: A.** A DBA can be useful, but it is only a registered name.

A DBA has a narrow purpose.

- ✗ B. A DBA lowers taxes.: no
- ✗ C. A DBA is a trademark.: no
- ✗ D. A DBA replaces the need to form an LLC for protection.: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

## S27-M-Q1 · question page 548

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

What is a personal guarantee?

**Answer: A.** A promise to pay a business debt yourself if the business cannot

It makes you personally responsible for that debt.

- ✗ B. A promise by the bank to lend you more money later: not what it is
- ✗ C. A guarantee that the business will make a profit this year: not what it is
- ✗ D. A warranty you give customers on a product: different meaning

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-M-Q2 · question page 549

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

An LLC owner signed a personal guarantee on the shop lease. The business closes. Who may owe the rest of the lease?

**Answer: C.** The owner personally

The guarantee makes the owner responsible.

- ✗ A. The state: no
- ✗ B. Only the landlord: the landlord is owed
- ✗ D. No one, because the LLC closed: the guarantee remains

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-M-Q3 · question page 550

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Why do lenders often ask new owners for guarantees?

**Answer: D.** New businesses have little history.

Lenders want someone with a track record responsible.

- ✗ A. Because LLCs cannot sign contracts.: they can
- ✗ B. Because guarantees are required by every state.: not a universal law
- ✗ C. Because guarantees lower the owner's taxes.: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-M-Q4 · question page 551

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Where can a personal guarantee sometimes hide?

**Answer: B.** Inside a long application or contract

Read long forms carefully.

- ✗ A. Only on billboards outside the bank: no
- ✗ C. Only in the company logo: no
- ✗ D. Only in social media ads: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-M-Q5 · question page 552

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Before signing a guarantee, what should an owner ask?

**Answer: C.** Could I pay this amount personally if needed?

Consider the personal risk.

✗ A. Will signing this make my company logo look better?: irrelevant

✗ B. How fast can I sign?: speed is not the point

✗ D. Is the paper a nice color?: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-B1-Q1 · question page 553

ENT.LEGAL.09 · Co-signing for a friend

Co-signing means what?

**Answer: D.** You may have to pay if the main borrower does not

The co-signer backs the debt.

✗ A. You get a free phone: no

✗ B. You own the company: no

✗ C. You can never be asked to pay anything at all: you can

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-B1-Q2 · question page 554

ENT.LEGAL.09 · Co-signing for a friend

A personal guarantee is like co-signing for whom?

**Answer: B.** Your own business

You back your company's debt.

✗ A. A competitor down the street: no

✗ C. A stranger: no

✗ D. The bank: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-B1-Q3 · question page 555

ENT.LEGAL.09 · Co-signing for a friend

If the LLC cannot pay a guaranteed debt, who may pay?

**Answer: D.** The person who signed the guarantee

The guarantor pays.

- ✗ A. The state: no
- ✗ B. The business's regular customers: no
- ✗ C. Nobody: someone owes it

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-B1-Q4 · question page 556

ENT.LEGAL.09 · Co-signing for a friend

Who is the main borrower on a business loan with a guarantee?

**Answer: B.** The business

The business borrows; the guarantor backs it.

- ✗ A. The guarantor only: the business borrows
- ✗ C. The landlord: no
- ✗ D. The bank: the bank lends

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-B1-Q5 · question page 557

ENT.LEGAL.09 · Co-signing for a friend

Does an LLC stop a guarantor from having to pay?

**Answer: A.** No

The guarantee is personal.

- ✗ B. Only in summer: no
- ✗ C. Only if small: no
- ✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F1-Q1 · question page 558

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A supplier offers 30-day payment terms if the owner signs a personal guarantee up to 5,000 dollars. The owner has 1,000 dollars in savings. What is the main concern?

**Answer: B.** She could owe more than she could personally pay

A 5,000-dollar guarantee exceeds her 1,000 dollars of savings.

- ✗ A. Payment terms are always free of risk: not with a guarantee
- ✗ C. Guarantees only apply to big companies: no
- ✗ D. The supplier will never actually ask anyone for payment: they may

Arithmetic checked by code: yes. Sources: sba_structure

---

## S27-F1-Q2 · question page 559

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Two lease offers: A requires a personal guarantee; B costs 100 dollars more a month with no guarantee. The owner's priority is protecting her house. Which fits her priority?

**Answer: C.** Offer B, without the guarantee

Avoiding the guarantee protects personal assets.

- ✗ A. Offer A, because it is cheaper: it adds personal risk
- ✗ B. Neither, because all leases require guarantees: not true here
- ✗ D. Offer A, because guarantees never get used: they can be used

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F1-Q3 · question page 560

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A loan application has a page titled "Unconditional Guaranty." What should the owner do?

**Answer: A.** Read it and ask what it covers before signing

Understanding the guarantee is essential.

- ✗ B. Ignore it because it is a standard form: it matters
- ✗ C. Cross it out without telling the lender: not an agreement
- ✗ D. Sign quickly so the loan closes faster: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F1-Q4 · question page 561

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A guarantee covers a 12,000-dollar loan. The business repays 9,000 dollars and then closes. How much might the guarantor owe, ignoring interest and fees?

**Answer: C.** 3,000 dollars

12,000 - 9,000 = 3,000 dollars remaining.

- ✗ A. 0 dollars: a balance remains
- ✗ B. 9,000 dollars: that was repaid
- ✗ D. 12,000 dollars: ignores repayments

Arithmetic checked by code: yes. Sources: sba_structure

---

## S27-F1-Q5 · question page 562

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Which action can reduce guarantee risk?

**Answer: C.** Negotiating a limit or a time period on the guarantee

Limits and time periods can reduce exposure.

- ✗ A. Hiding the guarantee from a business partner so they do not worry: unfair
- ✗ B. Ignoring the amount: risky
- ✗ D. Signing several guarantees at once: increases risk

Arithmetic checked by code: not applicable. Sources: sba_structure

## S27-F2-Q1 · question page 563

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Two partners own an LLC equally. Only one signs a personal guarantee. What should the partners discuss?

**Answer: D.** How they will share that risk fairly

Uneven personal risk should be addressed in their agreement.

- ✗ A. Whether to change the logo: unrelated
- ✗ B. Nothing; guarantees are always shared automatically: not automatically
- ✗ C. Whether to stop keeping records: harmful

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F2-Q2 · question page 564

ENT.LEGAL.09 · Handle the complications: guarantees and partners

An owner says, "I have an LLC, so the guarantee does not matter." What is wrong?

**Answer: B.** The guarantee makes her personally responsible despite the LLC

A personal guarantee bypasses limited liability for that debt.

- ✗ A. Guarantees expire when signed: no
- ✗ C. Personal guarantees are illegal for anyone who owns an LLC: no
- ✗ D. Nothing; the LLC overrides it: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F2-Q3 · question page 565

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Which missing information should be checked before signing a guarantee?

**Answer: A.** The maximum amount and how long it lasts

Amount and duration define the risk.

✗ B. How many employees the lender has: irrelevant

✗ C. The lender's office paint color: irrelevant

✗ D. Whether the lender likes your logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F2-Q4 · question page 566

ENT.LEGAL.09 · Handle the complications: guarantees and partners

A business owner's spouse is asked to sign a guarantee too. What should the spouse understand?

**Answer: D.** Their personal assets could also be used for the debt

Anyone who signs can be personally responsible.

✗ A. Spouses can never be responsible: they can if they sign

✗ B. Signing only helps the credit score: it creates liability

✗ C. It is just a formality that has no legal effect on the spouse: it has effect

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S27-F2-Q5 · question page 567

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Who is the best person to review a large guarantee before signing?

**Answer: C.** A business attorney

Independent legal advice helps.

✗ A. A social media follower: not qualified

✗ B. The lender only: they represent the lender

✗ D. A graphic designer: not qualified

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S28-M-Q1 · question page 569

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Lucy wants to sell homemade baked goods from her kitchen. What should she check?

**Answer: A.** Local and state rules for selling food made at home

Food sales often have specific rules.

- ✗ B. Only whether her friends and neighbors like her cookies: not a legal check
- ✗ C. Only how to post on social media: not a legal check
- ✗ D. Only the price of flour at the store: not a legal check

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-M-Q2 · question page 570

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

What do zoning rules decide?

**Answer: D.** What activities are allowed at a location

Zoning is about land use and location.

- ✗ A. Which colors a business logo may use: not zoning
- ✗ B. How much tax the owner pays each year: not zoning
- ✗ C. Which bank the business must use: not zoning

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-M-Q3 · question page 571

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Which job most likely needs a professional license?

**Answer: C.** Electrical wiring in customers' homes

Electrical work commonly needs a license.

- ✗ A. Dog photography at a park: usually no professional license
- ✗ B. Writing a personal blog for fun: not a business license issue
- ✗ D. Selling greeting cards online: usually no special license

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-M-Q4 · question page 572

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Who sets licensing and permit rules?

**Answer: C.** It depends: city, county, state and sometimes federal agencies

Several levels can apply.

- ✗ A. Only the business owner's friends: no
- ✗ B. Only the bank that holds the account: no
- ✗ D. Only the federal government, for every business in the country: too narrow

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-M-Q5 · question page 573

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

A tenant wants to run a business from an apartment. What else besides city rules should she check?

**Answer: D.** Her lease terms

Leases can limit business use.

- ✗ A. The weather forecast: irrelevant
- ✗ B. Her favorite restaurant's hours: irrelevant
- ✗ C. A competitor's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-B1-Q1 · question page 574

ENT.LEGAL.10 · Permission slips

A general business license is like which permission slip?

**Answer: B.** Permission to operate at all

It is broad permission.

- ✗ A. Permission to drive a car: that is personal
- ✗ C. Permission to skip class: unrelated
- ✗ D. Permission to change a logo: not needed

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-B1-Q2 · question page 575

ENT.LEGAL.10 · Permission slips

A food permit covers what?

**Answer: A.** A specific activity: selling food

Permits cover specific activities.

- ✗ B. The owner's taxes: unrelated
- ✗ C. The company name: unrelated
- ✗ D. All business activity everywhere: too broad

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-B1-Q3 · question page 576

ENT.LEGAL.10 · Permission slips

Zoning approval is about what?

**Answer: B.** Whether the location allows the activity

Zoning concerns the place.

- ✗ A. The owner's education level and degrees: no
- ✗ C. The website design: no
- ✗ D. The product's price: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-B1-Q4 · question page 577

ENT.LEGAL.10 · Permission slips

A hair stylist's license is which kind?

**Answer: D.** A personal professional license

It applies to the person doing the work.

- ✗ A. A zoning rule for the salon: no
- ✗ B. A trademark: no
- ✗ C. A DBA: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-B1-Q5 · question page 578

ENT.LEGAL.10 · Permission slips

Who issues each permission?

**Answer: A.** The group in charge of that rule

Each authority issues its own permission.

- ✗ B. The business owner alone, by choice: no
- ✗ C. Competitors: no
- ✗ D. Customers: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F1-Q1 · question page 579

ENT.LEGAL.10 · Apply it: make a permissions checklist

Sam wants to run a home-based tutoring business with students visiting 4 evenings a week. Which checks fit best?

**Answer: D.** City business license, zoning limits on home visits, and his lease or HOA rules

Visits to a home business can trigger zoning and lease rules.

- ✗ A. Only a trademark search: not the main permission

✗ B. Only a social media account to advertise the tutoring sessions to local families: not a permission

✗ C. Only a food permit: he is not selling food

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F1-Q2 · question page 580

ENT.LEGAL.10 · Apply it: make a permissions checklist

A food truck plans to sell in two cities. What should the owner check?

**Answer: B.** Each city's permits and rules

Each city may have its own permits.

✗ A. Nothing, trucks are always exempt: no

✗ C. Only the truck's paint color: irrelevant

✗ D. One city's rules, since all cities match: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F1-Q3 · question page 581

ENT.LEGAL.10 · Apply it: make a permissions checklist

A city charges 50 dollars for a business license and 120 dollars for a sign permit. What is the total for both?

**Answer: A.** 170 dollars

50 + 120 = 170 dollars (example fees).

✗ B. 120 dollars: only the sign permit

✗ C. 70 dollars: the difference

✗ D. 50 dollars: only the license

Arithmetic checked by code: yes. Sources: sba_launch

---

## S28-F1-Q4 · question page 582

ENT.LEGAL.10 · Apply it: make a permissions checklist

An online-only digital product seller works from home with no visitors. Which check is still sensible?

**Answer: B.** Whether the city or state requires a general business license or registration

Even online businesses may need general registration where they are based.

- ✗ A. A liquor license: not relevant
- ✗ C. A food handler permit and a restaurant health inspection for the home kitchen: not relevant
- ✗ D. A construction permit: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F1-Q5 · question page 583

ENT.LEGAL.10 · Apply it: make a permissions checklist

Where is the best place to find local requirements?

**Answer: A.** The city or county government's business office or website

Official local sources give current requirements.

- ✗ B. A random forum post: unreliable
- ✗ C. A competitor: unreliable
- ✗ D. The comment section under a video about business licenses: unreliable

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F2-Q1 · question page 584

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A friend says, "Home businesses never need permits." What is wrong with this?

**Answer: B.** Rules depend on the activity and location

Many home businesses need registration or permits.

- ✗ A. Nothing; it is always true: false

✗ C. Only big businesses exist: false

✗ D. Home businesses are illegal everywhere: false

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F2-Q2 · question page 585

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A dog groomer's city allows home businesses, but her homeowner association bans customer visits. What should she do?

**Answer: C.** Follow both sets of rules or find another location

Private association rules can add limits beyond city rules.

✗ A. Assume rules never get enforced: risky

✗ B. Ask customers to keep visits secret: not honest

✗ D. Ignore the association because the city allows it: both can apply

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F2-Q3 · question page 586

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which missing check is the biggest risk in this plan? "Rent a shop, print signs, open next week."

**Answer: C.** Whether zoning and permits allow this use at the shop

Opening without allowed use and permits can force closure.

✗ A. Whether the printed signs are colorful enough to attract walkers: minor

✗ B. Whether competitors are nearby: not a permission

✗ D. Whether the website loads fast: minor

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F2-Q4 · question page 587

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A license must be renewed each year. What is a sensible habit?

**Answer: A.** Put renewal dates on a deadline calendar

Tracking renewals avoids lapses.

- ✗ B. Wait for a reminder that may never come: risky
- ✗ C. Assume one license lasts forever: often false
- ✗ D. Renew only if inspected: not compliant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S28-F2-Q5 · question page 588

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which statement is accurate for this course?

**Answer: A.** Rules vary by place, so check the official sources where you operate.

Jurisdiction matters.

- ✗ B. New Jersey's rules apply the same way everywhere in the US.: no single state's rules apply everywhere
- ✗ C. Federal rules replace all local rules.: not true
- ✗ D. No business needs any permission.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S29-M-Q1 · question page 590

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about a confusing lease clause?

**Answer: C.** An attorney

Lease clauses are legal questions.

- ✗ A. A graphic designer who made the logo: not legal
- ✗ B. A social media manager: not legal
- ✗ D. A delivery driver: not legal

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-M-Q2 · question page 591

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about whether to make a tax election?

**Answer: B.** An accountant or tax professional

Tax elections are tax questions.

- ✗ A. A web developer who builds websites: not tax
- ✗ C. A sign maker: not tax
- ✗ D. A florist: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-M-Q3 · question page 592

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

When is professional help most worth paying for?

**Answer: B.** When stakes are high and mistakes are hard to undo

High stakes justify expert help.

- ✗ A. When ordering pens: low stakes
- ✗ C. When picking a lunch spot: irrelevant
- ✗ D. When choosing a font for the business's social media posts: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-M-Q4 · question page 593

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

What is a good way to prepare for a meeting with an expert?

**Answer: D.** Write questions and bring documents

Preparation saves time and money.

✗ A. Arrive with no questions to save time: wastes time

✗ B. Avoid asking about fees: fees matter

✗ C. Bring only a logo sketch: not enough

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-M-Q5 · question page 594

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional helps match coverage to business risks?

**Answer: D.** An insurance agent or broker

Insurance professionals match coverage to risks.

✗ A. A trademark examiner at the agency: no

✗ B. A banker: not insurance

✗ C. A copywriter: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-B1-Q1 · question page 595

ENT.LEGAL.11 · Matching the question to the expert

A contract question goes to whom?

**Answer: D.** An attorney

Contracts are legal.

✗ A. A designer: not legal

✗ B. An accountant: tax

✗ C. An insurance agent: coverage

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-B1-Q2 · question page 596

ENT.LEGAL.11 · Matching the question to the expert

A tax question goes to whom?

**Answer: C.** An accountant or tax professional

Taxes go to a tax professional.

- ✗ A. A dentist: no
- ✗ B. An attorney only, never anyone else: tax pro fits better
- ✗ D. A designer: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-B1-Q3 · question page 597

ENT.LEGAL.11 · Matching the question to the expert

An insurance coverage question goes to whom?

**Answer: D.** An insurance agent

Coverage goes to an insurance professional.

- ✗ A. A chef: no
- ✗ B. A tutor: no
- ✗ C. A store cashier: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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## S29-B1-Q4 · question page 598

ENT.LEGAL.11 · Matching the question to the expert

Why match the question to the expert?

**Answer: B.** To get a better answer faster

The right expert answers best.

- ✗ A. To avoid all advice: no
- ✗ C. To confuse the expert on purpose: no
- ✗ D. To pay more: not the goal

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-B1-Q5 · question page 599

ENT.LEGAL.11 · Matching the question to the expert

A dentist for teeth is like what for a lease dispute?

**Answer: A.** An attorney

Legal disputes go to an attorney.

- ✗ B. A house painter: no
- ✗ C. A baker: no
- ✗ D. A coach: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F1-Q1 · question page 600

ENT.LEGAL.11 · Apply it: decide whether to get help now

Mia is about to sign a 5-year commercial lease with a personal guarantee. What is the best step?

**Answer: A.** Have an attorney review it before signing

A long lease with a guarantee is high stakes.

- ✗ B. Ask a friend who once rented an apartment: not equivalent
- ✗ C. Sign quickly before the landlord changes his mind: risky
- ✗ D. Skip reading the guarantee page: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F1-Q2 · question page 601

ENT.LEGAL.11 · Apply it: decide whether to get help now

Jon needs to choose a font for his flyers. Does he need an attorney?

**Answer: C.** No, this is a low-stakes design choice

Low-stakes choices rarely need legal help (though licensed font use matters).

✗ A. Yes, attorneys design flyers: no

✗ B. Yes, every decision needs an attorney: too costly

✗ D. Yes, fonts are legal contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F1-Q3 · question page 602

ENT.LEGAL.11 · Apply it: decide whether to get help now

An attorney charges 200 dollars an hour. A lease review takes 1.5 hours. What is the cost?

**Answer: A.** 300 dollars

200 x 1.5 = 300 dollars (example rate).

✗ B. 201.5 dollars: adds instead of multiplying

✗ C. 200 dollars: one hour

✗ D. 400 dollars: two hours

Arithmetic checked by code: yes. Sources: sba_structure

---

## S29-F1-Q4 · question page 603

ENT.LEGAL.11 · Apply it: decide whether to get help now

Which question is best brought to a tax professional?

**Answer: C.** How to plan estimated tax payments for a new business

Estimated tax planning is a tax question.

✗ A. Which supplier has nicer boxes: not tax

✗ B. How to write an Instagram caption: not tax

✗ D. Which color to paint the shop's front door this spring: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F1-Q5 · question page 604

ENT.LEGAL.11 · Apply it: decide whether to get help now

A founder can afford only one paid consultation this month. Which use is most valuable?

**Answer: A.** Reviewing the partnership agreement before both partners sign

A binding agreement between owners is high stakes.

- ✗ B. Naming a product flavor: low stakes
- ✗ C. Picking a nice email signature for every message she sends: low stakes
- ✗ D. Choosing a logo color: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F2-Q1 · question page 605

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A free online article explains LLC rules but is from another state and five years old. What is the limit?

**Answer: D.** It may not match current rules where you operate

Location and date matter for legal information.

- ✗ A. It fully replaces all professional advice for every owner: no
- ✗ B. Articles can never be useful: they can help
- ✗ C. It is always perfectly accurate: not necessarily

Arithmetic checked by code: not applicable. Sources: sba_structure

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## S29-F2-Q2 · question page 606

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder asks a lawyer friend casually at a party about a lawsuit threat. What is the concern?

**Answer: C.** Casual answers may be incomplete; a proper consultation is safer

Serious issues need proper advice with full facts.

- ✗ A. The lawsuit will disappear: no
- ✗ B. Lawyers never answer questions: they do
- ✗ D. No concern; advice given at a party is binding and complete: not reliable

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F2-Q3 · question page 607

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Before hiring an accountant, which question should the owner ask?

**Answer: B.** What the fee is and what is included

Fees and scope prevent surprises.

- ✗ A. Whether the accountant uses social media: irrelevant
- ✗ C. Whether the accountant likes the logo: irrelevant
- ✗ D. What the accountant's favorite movie is: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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## S29-F2-Q4 · question page 608

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder uses an AI tool to draft a contract. What is the sensible next step for an important deal?

**Answer: C.** Have a qualified professional review it

AI drafts need human professional review for important matters.

- ✗ A. Assume AI drafts are legally verified: they are not
- ✗ B. Sign it as written: AI can make errors
- ✗ D. Delete all contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

---

## S29-F2-Q5 · question page 609

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Which statement fits this course?

**Answer: B.** Education explains what to check; individual decisions may need professional advice.

The course teaches what to check and why.

- ✗ A. Professionals are never needed.: sometimes they are
- ✗ C. Every question needs a lawyer.: too costly and unnecessary
- ✗ D. This course gives each learner individual legal advice for their own business.: it does not

Arithmetic checked by code: not applicable. Sources: sba_structure

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## S30-M-Q1 · question page 611

ENT.ID.01 · Explain what an EIN is and who usually needs one

What is an EIN?

**Answer: D.** A federal tax ID number for a business

The IRS issues EINs to identify businesses for federal taxes.

- ✗ A. A registered trademark for a business name: trademarks are separate
- ✗ B. A credit score assigned to new businesses: not a credit score
- ✗ C. A state license that lets a business sell food: that is a permit

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-M-Q2 · question page 612

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which agency issues EINs?

**Answer: A.** The IRS

The IRS is the federal tax agency.

- ✗ B. The US Postal Service: it handles mail
- ✗ C. The patent and trademark office: it handles trademarks
- ✗ D. The state's business licensing office: states issue other IDs

Arithmetic checked by code: not applicable. Sources: irs_ein

## S30-M-Q3 · question page 613

ENT.ID.01 · Explain what an EIN is and who usually needs one

How much does the IRS charge for an EIN?

**Answer: C.** Nothing; it is free

The IRS states you never have to pay a fee for an EIN.

- ✗ A. A fee set by each county: the EIN is federal and free
- ✗ B. A 50-dollar filing fee paid online: the IRS says there is no fee
- ✗ D. A yearly fee based on sales: there is no fee

Arithmetic checked by code: not applicable. Sources: irs_ein

## S30-M-Q4 · question page 614

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which business most clearly needs an EIN?

**Answer: B.** A shop that hires its first employee

Hiring employees is a common reason an EIN is required.

- ✗ A. A person who only buys from businesses: a customer, not a business
- ✗ C. A child selling lemonade one afternoon: not a formal business
- ✗ D. A hobby blogger who earns no money at all: not a business with tax needs

Arithmetic checked by code: not applicable. Sources: irs_ein

## S30-M-Q5 · question page 615

ENT.ID.01 · Explain what an EIN is and who usually needs one

Why might a sole proprietor with no employees still get an EIN?

**Answer: C.** To give clients an EIN instead of her SSN

An EIN can keep her Social Security number more private.

✗ A. Because it automatically creates an LLC for her: it does not create an entity

✗ B. Because it protects her house from business debts: no liability protection

✗ D. Because it removes the need to pay income tax: taxes still apply

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-B1-Q1 · question page 616

ENT.ID.01 · An ID number for the business

An EIN is most like which of these?

**Answer: D.** A student ID number

It identifies the business.

✗ A. A shop's front sign: not an ID

✗ B. A house key: not an ID

✗ C. A bank loan: not an ID

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-B1-Q2 · question page 617

ENT.ID.01 · An ID number for the business

A person's tax ID is usually what?

**Answer: D.** A Social Security number

People use an SSN for taxes.

✗ A. A home street address: not a tax ID

✗ B. A zip code: not a tax ID

✗ C. A phone number: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-B1-Q3 · question page 618

ENT.ID.01 · An ID number for the business

What does the EIN tell the IRS?

**Answer: C.** Which business the records belong to

It matches records to the business.

- ✗ A. Where to buy supplies: no
- ✗ B. How good the products are: no
- ✗ D. The owner's favorite color and hobbies: no

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-B1-Q4 · question page 619

ENT.ID.01 · An ID number for the business

Does an EIN protect the owner from debts?

**Answer: D.** No, it is only an ID number

It does not change liability.

- ✗ A. Yes, but only for LLC owners: no
- ✗ B. Yes, from every debt: no
- ✗ C. Yes, in every state: no

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-B1-Q5 · question page 620

ENT.ID.01 · An ID number for the business

When might a bank ask for an EIN?

**Answer: C.** When opening a business bank account

Banks often ask for it.

- ✗ A. When checking the weather: no
- ✗ B. When paying at a city parking meter: no
- ✗ D. When buying a coffee: no

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-F1-Q1 · question page 621

ENT.ID.01 · Apply it: decide whether to get an EIN

Dee runs a one-person bookkeeping service as a sole proprietor. Clients ask for a tax ID on forms. She does not want to share her SSN widely. What fits?

**Answer: B.** Get a free EIN and give clients that number

A free EIN can be used instead of her SSN.

- ✗ A. Refuse all clients who ask for a tax ID: loses business unnecessarily
- ✗ C. Make up a nine-digit number for the forms: false information
- ✗ D. Pay a website 200 dollars, believing it is required: the EIN is free from the IRS

Arithmetic checked by code: not applicable. Sources: irs_ein

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## S30-F1-Q2 · question page 622

ENT.ID.01 · Apply it: decide whether to get an EIN

Raj is hiring two part-time workers for his food truck. What should he get?

**Answer: C.** An EIN from the IRS

Employers need an EIN.

- ✗ A. Only a trademark for the truck's name: not a tax ID
- ✗ B. Only a new business email address: not a tax ID
- ✗ D. Only a PO Box for mail: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F1-Q3 · question page 623

ENT.ID.01 · Apply it: decide whether to get an EIN

Which statement about an EIN is accurate?

**Answer: A.** It identifies the business for federal taxes.

Its purpose is federal tax identification.

- ✗ B. It means the business has trademark rights.: separate
- ✗ C. It is issued by the bank that holds the account.: the IRS issues it
- ✗ D. It replaces the business license from the city.: licenses are separate

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F1-Q4 · question page 624

ENT.ID.01 · Apply it: decide whether to get an EIN

An EIN has how many digits?

**Answer: B.** Nine

An EIN is a nine-digit number.

- ✗ A. Twelve: not the format
- ✗ C. Four: not the format
- ✗ D. Six: not the format

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F1-Q5 · question page 625

ENT.ID.01 · Apply it: decide whether to get an EIN

Lena formed a two-owner LLC with her brother. What is the most likely situation?

**Answer: D.** The LLC will usually need an EIN

Multi-member LLCs are generally partnerships for tax and need an EIN.

- ✗ A. The LLC can never have an EIN: false
- ✗ B. Each owner must use the other's SSN: false
- ✗ C. The LLC uses the state's phone number as its ID: false

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F2-Q1 · question page 626

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A website charges 250 dollars to "obtain your EIN." What should a founder know?

**Answer: C.** The IRS gives EINs for free

Third parties may charge, but the IRS does not.

- ✗ A. Paying more gives a better EIN: no such thing
- ✗ B. The 250 dollars is the IRS's official fee: there is no IRS fee
- ✗ D. Only paid websites can request EINs: the IRS accepts direct applications

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F2-Q2 · question page 627

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner thinks getting an EIN means she now has an LLC. What is the error?

**Answer: A.** An EIN is a tax ID, not a legal entity

Entities are formed with the state.

- ✗ B. There is no error; EINs create LLCs: false
- ✗ C. EINs end the business's tax duties: false
- ✗ D. EINs are only for corporations: false

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F2-Q3 · question page 628

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A sole proprietor shares her EIN on an invoice. Compared with sharing her SSN, what is the benefit?

**Answer: B.** Her Social Security number stays more private

The EIN limits SSN exposure.

- ✗ A. Her invoices become legally binding contracts: not how invoices work

✗ C. She pays no income tax at all: false

✗ D. Her business turns into a corporation: false

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F2-Q4 · question page 629

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

Which source is best to confirm whether a business needs an EIN?

**Answer: C.** The IRS website

The IRS is the official source.

✗ A. A competitor's guess: unreliable

✗ B. A comment on a social media post: unreliable

✗ D. An old flyer from a print shop: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S30-F2-Q5 · question page 630

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner loses track of her EIN. What is a sensible first step?

**Answer: D.** Check earlier IRS letters or bank and tax records

The number appears on earlier official records.

✗ A. Use a random nine-digit number on forms until she finds it: false information

✗ B. Stop filing taxes until it turns up: creates problems

✗ C. Apply for many new EINs right away: creates confusion

Arithmetic checked by code: not applicable. Sources: irs_ein

---

## S31-M-Q1 · question page 632

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

Where should an owner apply for an EIN to avoid unnecessary fees?

**Answer: C.** Directly with the IRS

Applying directly is free.

- ✗ A. Through the city hall front desk: not the issuer
- ✗ B. Through any website that appears first in an ad: may charge fees
- ✗ D. Through the business's bank teller: the IRS issues EINs

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-M-Q2 · question page 633

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What is the "responsible party" on the application?

**Answer: A.** An individual who controls the business

It is a person in control.

- ✗ B. Any customer who bought something from the business: customers do not control it
- ✗ C. The state office that approved the LLC: not the controller
- ✗ D. The bank that will hold the business account: not a person in control

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-M-Q3 · question page 634

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What must the responsible party have for the online application?

**Answer: B.** An SSN or ITIN

The online form requires an SSN or ITIN.

- ✗ A. A college degree in business: not required
- ✗ C. A business credit card with a high limit: not required
- ✗ D. A registered trademark for the name: not required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-M-Q4 · question page 635

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

An owner is forming an LLC. What order does the IRS advise?

**Answer: D.** Form the LLC with the state, then apply for the EIN

Form the entity first to avoid delays.

- ✗ A. Apply for the EIN, then decide on a business later: may cause delays
- ✗ B. Print invoices, then decide on the business form: not the advised order
- ✗ C. Open a bank account, then form the LLC years later: banks need the entity papers

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-M-Q5 · question page 636

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What does the IRS say about completing the online application?

**Answer: A.** It must be finished in one session

Gather information before starting.

- ✗ B. It must be signed in person at a bank: not required
- ✗ C. It can be saved for three weeks and resumed: must be completed in one session
- ✗ D. It must be mailed in on paper afterward: not for the online version

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-B1-Q1 · question page 637

ENT.ID.02 · The official counter versus a middleman

In the story, who is the official counter?

**Answer: B.** The library desk

The library issues the card.

- ✗ A. The stranger outside: a middleman
- ✗ C. A bookstore: no
- ✗ D. The parking lot: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-B1-Q2 · question page 638

ENT.ID.02 · The official counter versus a middleman

For an EIN, who is the official counter?

**Answer: D.** The IRS

The IRS issues EINs.

- ✗ A. A competitor: no
- ✗ B. A paid website: a middleman
- ✗ C. A friend: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-B1-Q3 · question page 639

ENT.ID.02 · The official counter versus a middleman

Does the official counter charge for an EIN?

**Answer: C.** No

The IRS EIN is free.

- ✗ A. Yes, 100 dollars: no fee
- ✗ B. Only on weekends: no fee
- ✗ D. Yes, monthly: no fee

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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## S31-B1-Q4 · question page 640

ENT.ID.02 · The official counter versus a middleman

What might a middleman website add?

**Answer: B.** Its own fee

Middlemen may charge for convenience.

- ✗ A. A trademark: no
- ✗ C. A free gift card: not typical
- ✗ D. A business loan: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-B1-Q5 · question page 641

ENT.ID.02 · The official counter versus a middleman

What is the safest way to avoid extra fees?

**Answer: D.** Use the official IRS site

Go to the official source.

- ✗ A. Pay whoever asks: risky
- ✗ B. Guess a number: false info
- ✗ C. Click the first ad you see: may be a middleman

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F1-Q1 · question page 642

ENT.ID.02 · Apply it: prepare and apply correctly

Pat wants to apply online but has not decided who controls the business with his partner. What should he do first?

**Answer: A.** Decide who the responsible party is before starting

The application must be completed in one session with that information.

- ✗ B. Apply twice, once for each partner: creates duplicate EINs

✗ C. List a loyal customer as the responsible party instead: not correct

✗ D. Start and leave the field blank: it is required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F1-Q2 · question page 643

ENT.ID.02 · Apply it: prepare and apply correctly

A founder searched "get EIN" and found a site charging 199 dollars that looks official. What should she check?

**Answer: D.** Whether the web address is the IRS's official irs.gov site

The official IRS site ends in irs.gov.

✗ A. Whether the site has nice colors: not a test

✗ B. Whether the price is lower than another paid EIN website: still unnecessary

✗ C. Whether the site has many ads: not a test

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F1-Q3 · question page 644

ENT.ID.02 · Apply it: prepare and apply correctly

Kai plans to form an LLC next month. He wants an EIN today for the future LLC. What does the IRS advise?

**Answer: B.** Form the LLC first, then apply

Form the entity first.

✗ A. Apply today; order never matters: IRS warns of delays

✗ C. Skip the EIN entirely for an LLC: may still need one

✗ D. Use his own SSN as the LLC's EIN forever: not the same thing

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F1-Q4 · question page 645

ENT.ID.02 · Apply it: prepare and apply correctly

Which information should be ready before starting the online application?

**Answer: C.** The business type and responsible party's SSN or ITIN

Gather required details in advance.

- ✗ A. The logo file, brand colors and a sample of the website: not needed
- ✗ B. Next year's marketing plan: not needed
- ✗ D. A list of competitors' prices: not needed

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F1-Q5 · question page 646

ENT.ID.02 · Apply it: prepare and apply correctly

Nora saved 199 dollars by applying directly with the IRS instead of a paid site. If she had also avoided a 49-dollar "rush" add-on, how much did she save in total?

**Answer: D.** 248 dollars

199 + 49 = 248 dollars (example prices).

- ✗ A. 199 dollars: only the base fee
- ✗ B. 49 dollars: only the add-on
- ✗ C. 150 dollars: the difference

Arithmetic checked by code: yes. Sources: irs_ein; irs_ein_online

---

## S31-F2-Q1 · question page 647

ENT.ID.02 · Handle the complications: special cases and scams

A founder has no SSN or ITIN. What does the IRS page say about the online application?

**Answer: A.** It requires an SSN or ITIN, so another IRS method may be needed

The online option needs an SSN or ITIN; check the IRS for alternatives.

- ✗ B. She can never get an EIN: other methods exist

✗ C. Anyone can apply online without any SSN or ITIN at all: not online

✗ D. She should use a friend's SSN: false information

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F2-Q2 · question page 648

ENT.ID.02 · Handle the complications: special cases and scams

An email says, "Your EIN expires. Pay 75 dollars to renew." What should the owner do?

**Answer: C.** Treat it as suspicious and check with the IRS directly

EINs are free; verify through official channels.

✗ A. Reply with her bank details: risky

✗ B. Click the link and enter her SSN: risky

✗ D. Pay quickly by card so the business does not lose its EIN: likely a scam

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F2-Q3 · question page 649

ENT.ID.02 · Handle the complications: special cases and scams

A business is located outside the US. What does the IRS online page say?

**Answer: D.** The online application is for businesses in the US or its territories

Check the IRS for other application methods.

✗ A. Foreign businesses get EINs from their bank: not correct

✗ B. Every business located abroad must use only the online tool: not correct

✗ C. Foreign businesses can never get an EIN: other methods exist

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F2-Q4 · question page 650

ENT.ID.02 · Handle the complications: special cases and scams

An owner started the online form, left for lunch and came back. What might happen?

**Answer: B.** She may need to start again because it is one session

The session must be completed at once.

- ✗ A. She gets two EINs: no
- ✗ C. The IRS mails her the EIN anyway: not complete
- ✗ D. Her progress is saved for several months automatically: not how it works

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S31-F2-Q5 · question page 651

ENT.ID.02 · Handle the complications: special cases and scams

Which statement is accurate?

**Answer: A.** Rules on the IRS site can change, so check it when applying.

Official pages give current rules.

- ✗ B. Paid websites set IRS rules.: no
- ✗ C. IRS rules never change.: they can change
- ✗ D. Banks decide which businesses are allowed to get an EIN.: the IRS does

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

## S32-M-Q1 · question page 653

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Which ID is the federal tax ID?

**Answer: B.** The EIN

The EIN comes from the IRS.

- ✗ A. The state sales tax permit: state level
- ✗ C. The DBA certificate number: a name filing
- ✗ D. The city business license number: local permission

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-M-Q2 · question page 654

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

A shop will collect sales tax. Which ID is it most likely to need from the state?

**Answer: D.** A state tax account or sales tax permit

Sales tax is usually a state matter.

- ✗ A. Only a trademark registration: not a tax ID
- ✗ B. Only a domain name registration for the site: not a tax ID
- ✗ C. Only an EIN from the IRS: the EIN is federal

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-M-Q3 · question page 655

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

What does business registration (like forming an LLC) do?

**Answer: C.** Records the business with the state

Registration records the business or name.

- ✗ A. Replaces all business licenses: separate
- ✗ B. Collects sales tax for the state: the business collects
- ✗ D. Gives a federal tax ID number: that is the EIN

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-M-Q4 · question page 656

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Does an EIN replace a city business license?

**Answer: A.** No, they do different jobs

An EIN is a tax ID, not permission to operate.

✗ B. Yes, if the business has an LLC: it does not

✗ C. Yes, but only for food businesses: it does not

✗ D. Yes, an EIN covers every permission: it does not

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-M-Q5 · question page 657

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

According to the SBA launch steps, how are federal and state tax IDs treated?

**Answer: B.** As separate steps

They are listed separately.

✗ A. As the same as a trademark: unrelated

✗ C. As one single combined number: they are separate

✗ D. As optional for all businesses: not optional for many

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-B1-Q1 · question page 658

ENT.ID.03 · Different cards in a wallet

Why can't a gym card be used at the library?

**Answer: B.** Each card is for a different place

Each card has its own purpose.

✗ A. Gym cards are illegal: no

✗ C. Gym cards are too big to fit in slots: not the point

✗ D. Libraries are closed: not the point

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-B1-Q2 · question page 659

ENT.ID.03 · Different cards in a wallet

The EIN is the card for which office?

**Answer: D.** The IRS

The EIN is federal.

- ✗ A. The city: licenses
- ✗ B. The post office: mail
- ✗ C. The state tax agency: state ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-B1-Q3 · question page 660

ENT.ID.03 · Different cards in a wallet

A state tax account is the card for which office?

**Answer: C.** The state tax agency

It is for state taxes.

- ✗ A. The IRS: that is the EIN
- ✗ B. The bank: no
- ✗ D. The trademark office: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-B1-Q4 · question page 661

ENT.ID.03 · Different cards in a wallet

A license is like which wallet card?

**Answer: C.** A pass letting you do something

A license grants permission.

- ✗ A. A coupon: no
- ✗ B. A photo: no
- ✗ D. A store receipt from shopping: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-B1-Q5 · question page 662

ENT.ID.03 · Different cards in a wallet

Can one business ID replace all the others?

**Answer: C.** No

Each serves its own office.

- ✗ A. Yes, the DBA: no
- ✗ B. Yes, the EIN: no
- ✗ D. Yes, any card: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-F1-Q1 · question page 663

ENT.ID.03 · Apply it: build an ID and registration checklist

Mara is opening a retail gift shop LLC with one employee. Which list is most complete?

**Answer: B.** LLC registration, EIN, state tax account, local license

A retail employer needs several IDs and permissions.

- ✗ A. EIN only: missing state and local items
- ✗ C. DBA and logo only: missing most items
- ✗ D. A local license only, with no tax IDs or LLC filing: missing tax IDs and registration

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F1-Q2 · question page 664

ENT.ID.03 · Apply it: build an ID and registration checklist

Theo got an EIN and thinks he is ready to collect sales tax. What is missing?

**Answer: A.** A state sales tax permit or account

Sales tax is usually registered with the state.

- ✗ B. A new domain name: not for sales tax
- ✗ C. Nothing, the EIN covers sales tax: state ID needed
- ✗ D. A trademark search: not for sales tax

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F1-Q3 · question page 665

ENT.ID.03 · Apply it: build an ID and registration checklist

Which item gives permission to operate in the city?

**Answer: C.** A city business license

Licenses give permission.

- ✗ A. The EIN: tax ID
- ✗ B. The DBA filing: name filing
- ✗ D. The state tax account: tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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## S32-F1-Q4 · question page 666

ENT.ID.03 · Apply it: build an ID and registration checklist

A business owner counts 4 required items and has finished 3. What fraction is done?

**Answer: A.** 3/4

3 done out of 4 required = 3/4.

- ✗ B. 1/4: the part not done
- ✗ C. 4/3: upside down
- ✗ D. 3/7: adds incorrectly

Arithmetic checked by code: yes. Sources: irs_ein; sba_launch

---

## S32-F1-Q5 · question page 667

ENT.ID.03 · Apply it: build an ID and registration checklist

Which source lists federal and state tax IDs as launch steps?

**Answer: D.** The SBA's launch guide

The SBA provides an official overview.

- ✗ A. A competitor's social media page: not official
- ✗ B. An old print advertisement: not official
- ✗ C. A random online forum: not official

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F2-Q1 · question page 668

ENT.ID.03 · Handle the complications: mixing up IDs

An owner gives a state tax form her EIN in the box for her state account number. What is the problem?

**Answer: A.** The EIN and state account number are different IDs

Each form asks for a specific number.

- ✗ B. The state only needs her logo: no
- ✗ C. No problem; the federal and state numbers are always identical: not identical
- ✗ D. The state form needs a trademark: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F2-Q2 · question page 669

ENT.ID.03 · Handle the complications: mixing up IDs

A seller thinks a DBA filing gives her a state tax account. What is the error?

**Answer: C.** A DBA registers a name, not a tax account

Tax accounts are separate.

- ✗ A. DBAs are federal IDs: false

✗ B. No error; a DBA filing also opens a state tax account: false

✗ D. DBAs replace the EIN: false

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F2-Q3 · question page 670

ENT.ID.03 · Handle the complications: mixing up IDs

A business moves to a new state. Which items should it check?

**Answer: D.** State registration, state tax accounts and local licenses there

State and local items depend on the location.

✗ A. Only its logo colors: unrelated

✗ B. Only the EIN, which must be replaced: the EIN is federal and usually stays

✗ C. Nothing; every state registration and license transfers automatically: not always

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

## S32-F2-Q4 · question page 671

ENT.ID.03 · Handle the complications: mixing up IDs

Which statement is accurate?

**Answer: B.** Requirements depend on the state, the activity and whether there are employees.

Check the specific situation.

✗ A. No business needs a state ID.: not true

✗ C. Every business in every state needs exactly the same IDs and filings.: not true

✗ D. Only big companies need IDs.: not true

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

## S32-F2-Q5 · question page 672

ENT.ID.03 · Handle the complications: mixing up IDs

Where should a founder check state tax ID needs?

**Answer: D.** The state tax agency's official website

State agencies handle state taxes.

- ✗ A. The IRS only: the IRS is federal
- ✗ B. A neighbor's guess: unreliable
- ✗ C. The comment section under a business video: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

## S33-M-Q1 · question page 674

ENT.BANK.01 · Explain why business money needs its own account

What is commingling?

**Answer: C.** Mixing personal and business money

Commingling means mixing funds.

- ✗ A. Keeping receipts in a folder by month: that is good record keeping
- ✗ B. Paying taxes on time each quarter: not the meaning
- ✗ D. Opening several savings accounts at once: not the meaning

Arithmetic checked by code: not applicable. Sources: sba_launch

## S33-M-Q2 · question page 675

ENT.BANK.01 · Explain why business money needs its own account

What is one benefit of a separate business account?

**Answer: B.** Bookkeeping and taxes are easier

Clear records simplify bookkeeping.

✗ A. The owner never needs to keep receipts: records are still needed

✗ C. The business pays no taxes at all: taxes still apply

✗ D. Customers must pay in cash only: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-M-Q3 · question page 676

ENT.BANK.01 · Explain why business money needs its own account

Which money should go into the business account?

**Answer: A.** All business income

All business income goes into the business account.

✗ B. Only the owner's birthday gifts: personal money

✗ C. Nothing; it should stay empty: the account is for business money

✗ D. Only cash from personal savings: personal money

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S33-M-Q4 · question page 677

ENT.BANK.01 · Explain why business money needs its own account

How can commingling affect an LLC owner?

**Answer: D.** It can weaken liability protection

Mixing funds blurs the line between owner and LLC.

✗ A. It removes the need for licenses: unrelated

✗ B. It always lowers the owner's taxes: not a benefit

✗ C. It makes the LLC a trademark: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S33-M-Q5 · question page 678

ENT.BANK.01 · Explain why business money needs its own account

Which purchase belongs on the business account?

**Answer: C.** Packaging supplies for orders

Business expenses go through the business account.

- ✗ A. The owner's gym membership: personal
- ✗ B. A family vacation: personal
- ✗ D. The owner's groceries: personal

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S33-B1-Q1 · question page 679

ENT.BANK.01 · Two jars

Customer payments go in which jar?

**Answer: B.** The BUSINESS jar

Business income goes to business.

- ✗ A. Neither jar: they must go somewhere
- ✗ C. The HOME jar: personal
- ✗ D. A third secret jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S33-B1-Q2 · question page 680

ENT.BANK.01 · Two jars

Groceries are paid from which jar?

**Answer: D.** The HOME jar

Personal costs come from personal money.

- ✗ A. The BUSINESS jar: personal expense
- ✗ B. No jar: no
- ✗ C. Both jars equally: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-B1-Q3 · question page 681

ENT.BANK.01 · Two jars

What happens if both jars are poured into one?

**Answer: A.** You cannot tell what the business earned

Mixing hides the business results.

- ✗ B. Nothing changes: records get mixed
- ✗ C. Taxes disappear: no
- ✗ D. The business automatically earns more money: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-B1-Q4 · question page 682

ENT.BANK.01 · Two jars

A business bank account is like which jar?

**Answer: B.** The BUSINESS jar

It holds only business money.

- ✗ A. The HOME jar for family money: no
- ✗ C. A broken jar: no
- ✗ D. A cookie jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-B1-Q5 · question page 683

ENT.BANK.01 · Two jars

Business supplies are paid from which jar?

**Answer: C.** The BUSINESS jar

Business costs come from business money.

✗ A. A neighbor's jar: no

✗ B. The HOME jar: no

✗ D. No jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F1-Q1 · question page 684

ENT.BANK.01 · Apply it: sort transactions into the right account

Gia's client pays 600 dollars for a design project. Where should it be deposited?

**Answer: A.** The business account

Business income goes to the business account.

✗ B. Her personal savings for safekeeping: commingling

✗ C. Her child's school account: commingling

✗ D. Split randomly between accounts: confusing

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F1-Q2 · question page 685

ENT.BANK.01 · Apply it: sort transactions into the right account

Ben pays for his personal phone and his business software from one personal card. What is the issue?

**Answer: D.** Business and personal costs are mixed

Business costs should come from business funds.

✗ A. Nothing, one card is always best: mixing makes records unclear

✗ B. Phones are illegal for businesses: no

✗ C. Software is never a business cost: it can be

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F1-Q3 · question page 686

ENT.BANK.01 · Apply it: sort transactions into the right account

In a month, the business account shows deposits of 3,200 dollars and expenses of 2,450 dollars. What is the net change?

**Answer: C.** 750 dollars more

3,200 - 2,450 = 750 dollars.

- ✗ A. 750 dollars less: wrong direction
- ✗ B. 2,450 dollars more: only expenses
- ✗ D. 5,650 dollars more: adds instead of subtracting

Arithmetic checked by code: yes. Sources: sba_launch

---

## S33-F1-Q4 · question page 687

ENT.BANK.01 · Apply it: sort transactions into the right account

Which is commingling?

**Answer: B.** Paying the owner's rent from the LLC account

Personal rent paid by the LLC mixes funds.

- ✗ A. Paying the LLC's web hosting from the LLC account: business
- ✗ C. Paying supplier invoices from the LLC account: business
- ✗ D. Depositing client payments in the LLC account: business

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F1-Q5 · question page 688

ENT.BANK.01 · Apply it: sort transactions into the right account

A new freelancer has no LLC. Is a separate account still useful?

**Answer: A.** Yes, it keeps records clearer

Separation helps any business.

- ✗ B. No, it raises taxes automatically: false
- ✗ C. No, freelancers cannot open them: false
- ✗ D. No, only corporations may have one: false

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F2-Q1 · question page 689

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Ava accidentally paid a 40-dollar personal dinner with the business card. What is a sensible fix?

**Answer: C.** Record it and repay the business from personal money

Correcting and documenting keeps records clean.

- ✗ A. Close the business account: too extreme
- ✗ B. Ignore it, since small mistakes on business cards never matter: records become wrong
- ✗ D. Call it a business expense anyway: not honest

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F2-Q2 · question page 690

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

A customer pays by a payment app linked to the owner's personal account. What should the owner change?

**Answer: A.** Link the payment app to the business account

Payment tools should deposit into the business account.

- ✗ B. Nothing, apps never matter: still commingling
- ✗ C. Delete all records: harmful
- ✗ D. Ask customers to stop paying through the app: loses income

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F2-Q3 · question page 691

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

An owner pays herself from the business by moving money to her personal account and noting it. Is that commingling?

**Answer: D.** No, a recorded transfer to the owner is a normal step

Clear, recorded owner payments are fine.

- ✗ A. Yes, owners can never be paid: false
- ✗ B. Yes, every transfer from business to owner is illegal: false
- ✗ C. Only if done on Mondays: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F2-Q4 · question page 692

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which habit best prevents commingling?

**Answer: C.** Use business cards and accounts only for business

Consistent separation prevents mixing.

- ✗ A. Pay all costs in untracked cash: unclear records
- ✗ B. Use whichever card is closest: mixes funds
- ✗ D. Keep one shared card for both kinds of spending: mixes funds

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S33-F2-Q5 · question page 693

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which statement is accurate?

**Answer: C.** A separate account helps, but it does not by itself guarantee liability protection.

It is one important habit among several.

- ✗ A. A separate account by itself makes the owner immune to every lawsuit and every business debt.: overstated
- ✗ B. A separate account removes the need for bookkeeping.: false
- ✗ D. A separate account eliminates taxes.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-M-Q1 · question page 695

ENT.BANK.02 · Prepare documents and compare business account fees and signers

What is a signer on a bank account?

**Answer: C.** A person allowed to use the account

Signers can make transactions.

- ✗ A. The bank employee who opened the account: not a signer
- ✗ B. A customer who pays the business by check: not a signer
- ✗ D. The state office that approved the LLC: not a signer

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-M-Q2 · question page 696

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which document does a bank commonly ask for when opening an LLC account?

**Answer: D.** The LLC's formation papers

Banks need proof the LLC exists.

- ✗ A. The company's logo file: not relevant
- ✗ B. A competitor's price list: not relevant
- ✗ C. The owner's high school report card: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-M-Q3 · question page 697

ENT.BANK.02 · Prepare documents and compare business account fees and signers

A sole proprietor uses the trade name "Pine Cleaners." What may the bank ask for?

**Answer: B.** A DBA certificate

Banks may need proof of the trade name.

✗ A. A trademark from another country: not needed

✗ C. A food permit: not relevant

✗ D. An operating agreement only: for LLCs

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-M-Q4 · question page 698

ENT.BANK.02 · Prepare documents and compare business account fees and signers

An account is "free" if the balance stays above 1,500 dollars. What should an owner check?

**Answer: A.** Whether she can keep that minimum balance

Conditions decide whether fees apply.

✗ B. Whether the bank's logo is attractive: not relevant

✗ C. Whether the lobby has coffee: not relevant

✗ D. Whether her friends bank there: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-M-Q5 · question page 699

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which is part of comparing business accounts?

**Answer: D.** Monthly fees and transaction limits

Costs and limits matter most.

✗ A. The color of the debit card only: cosmetic

✗ B. How tall the bank building is: irrelevant

✗ C. The bank's TV ads: not a cost

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-B1-Q1 · question page 700

ENT.BANK.02 · Packing for the bank visit

What happens if you arrive without the right papers?

**Answer: B.** You may be sent back

Banks need documents.

- ✗ A. Nothing at all: papers are needed
- ✗ C. You get a free account: no
- ✗ D. The bank guesses for you: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-B1-Q2 · question page 701

ENT.BANK.02 · Packing for the bank visit

Which shows the business exists?

**Answer: C.** Formation papers or a DBA certificate

Official papers prove it.

- ✗ A. A social media page for the business: not proof
- ✗ B. A photo of the shop: not proof
- ✗ D. A business card: not proof

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-B1-Q3 · question page 702

ENT.BANK.02 · Packing for the bank visit

Which ID does each account user bring?

**Answer: A.** A personal photo ID

Each signer is identified.

- ✗ B. A coupon: not ID
- ✗ C. A gym card: not ID
- ✗ D. A library card only: not enough

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-B1-Q4 · question page 703

ENT.BANK.02 · Packing for the bank visit

Comparing account fees is like comparing what?

**Answer: A.** Airline baggage fees

Compare costs before choosing.

- ✗ B. Paint colors at a hardware store: no
- ✗ C. Movie plots: no
- ✗ D. Song lyrics: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-B1-Q5 · question page 704

ENT.BANK.02 · Packing for the bank visit

Which tax ID do you bring?

**Answer: C.** The EIN

The EIN identifies the business.

- ✗ A. A license plate: no
- ✗ B. A zip code: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F1-Q1 · question page 705

ENT.BANK.02 · Apply it: compare two accounts

Account A costs 15 dollars a month. Account B costs 5 dollars a month plus 0.50 dollars per deposit after 20 deposits. A business makes 30 deposits a month. Which costs less?

**Answer: A.** Account B (10 dollars)

B: 5 + (30 - 20) x 0.50 = 10 dollars, less than 15.

- ✗ B. Account B (20 dollars): miscounted the extra deposits
- ✗ C. They cost the same: B is lower
- ✗ D. Account A (15 dollars): A is higher

Arithmetic checked by code: yes. Sources: sba_launch

---

## S34-F1-Q2 · question page 706

ENT.BANK.02 · Apply it: compare two accounts

Tia's LLC has two owners who will both write checks. What must the bank set up?

**Answer: D.** Both owners as signers with ID

Each person who uses the account is a signer.

- ✗ A. Only Tia, while her partner uses Tia's card: sharing cards is unsafe
- ✗ B. A customer as a signer: not appropriate
- ✗ C. No signers; the LLC signs itself: people sign

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F1-Q3 · question page 707

ENT.BANK.02 · Apply it: compare two accounts

An account waives its 12-dollar monthly fee if the balance stays above 1,000 dollars. Ken's balance usually drops to 400 dollars. What yearly fee should he expect?

**Answer: A.** 144 dollars

12 x 12 = 144 dollars.

- ✗ B. 12 dollars: only one month
- ✗ C. 0 dollars: he misses the minimum
- ✗ D. 400 dollars: that is the balance

Arithmetic checked by code: yes. Sources: sba_launch

---

## S34-F1-Q4 · question page 708

ENT.BANK.02 · Apply it: compare two accounts

Which document is the bank LEAST likely to require?

**Answer: B.** The business's marketing plan

Marketing plans are not usually required.

- ✗ A. Formation papers: commonly required
- ✗ C. The EIN: commonly required
- ✗ D. A photo ID for each signer: commonly required

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F1-Q5 · question page 709

ENT.BANK.02 · Apply it: compare two accounts

A cash-heavy food truck compares accounts. Which fee matters most to it?

**Answer: D.** Cash deposit fees

Frequent cash deposits make that fee important.

- ✗ A. International wire fees: rare for it
- ✗ B. Check-printing designs: minor
- ✗ C. Branch decor: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F2-Q1 · question page 710

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A partner leaves the business but is still a signer. What should the remaining owner do?

**Answer: C.** Ask the bank to remove that signer

Update signers when roles change.

- ✗ A. Close every account immediately: not required
- ✗ B. Share the password with the former partner: unsafe

✗ D. Nothing; old signers lose access automatically: not automatic

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F2-Q2 · question page 711

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A bank ad says "Free business checking." What should the owner do before opening?

**Answer: A.** Read the fee schedule and conditions

Fine print shows when fees apply.

✗ B. Assume all banks are the same: they differ
✗ C. Ask a stranger online: unreliable
✗ D. Open it right away; free means no fees ever: conditions may apply

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S34-F2-Q3 · question page 712

ENT.BANK.02 · Handle the complications: signers, changes and fine print

An owner gives her bookkeeper her own online banking password. What is a better option?

**Answer: D.** Ask the bank about separate access for the bookkeeper

Separate user access keeps control and records clear.

✗ A. Use the same password for everything: unsafe
✗ B. Post the password where every staff member can see it: unsafe
✗ C. Share her ID card too: unsafe

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F2-Q4 · question page 713

ENT.BANK.02 · Handle the complications: signers, changes and fine print

The bank asks for documents the owner did not expect. What is the reason most likely?

**Answer: B.** Banks set their own rules for opening accounts

Requirements vary by bank.

- ✗ A. The bank is breaking the law: not necessarily
- ✗ C. The IRS controls bank forms: not exactly
- ✗ D. The business is not allowed to exist in that state: unlikely

Arithmetic checked by code: not applicable. Sources: sba_launch

---

## S34-F2-Q5 · question page 714

ENT.BANK.02 · Handle the complications: signers, changes and fine print

Which statement is accurate?

**Answer: D.** Account requirements and fees vary by bank, so compare before choosing.

Comparison helps choose wisely.

- ✗ A. Every bank charges exactly the same monthly and deposit fees.: false
- ✗ B. Banks never ask for ID.: false
- ✗ C. No bank ever charges business fees.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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## S35-M-Q1 · question page 716

ENT.BANK.03 · Tell debit, credit and payment processing apart

Where does a business debit card take money from?

**Answer: A.** The business bank account

Debit draws from the account.

- ✗ B. A loan that must be repaid with interest: that is credit
- ✗ C. The customer's bank account directly: not how debit works for the owner
- ✗ D. The owner's personal savings account: not if it is a business card

Arithmetic checked by code: not applicable. Sources: none (stable)

## S35-M-Q2 · question page 717

ENT.BANK.03 · Tell debit, credit and payment processing apart

What happens if a credit card balance is not paid in full?

**Answer: B.** Interest is usually charged

Unpaid credit balances usually charge interest.

- ✗ A. The bank pays the balance for the business: no
- ✗ C. The card becomes a debit card: no
- ✗ D. The balance is forgiven after a month: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

## S35-M-Q3 · question page 718

ENT.BANK.03 · Tell debit, credit and payment processing apart

What does a payment processor do?

**Answer: D.** Lets the business accept customer card payments

Processors move customer payments to the business.

- ✗ A. Files the business's yearly tax return: not its job
- ✗ B. Registers the business name with the state: not its job
- ✗ C. Designs the online store: not its main job

Arithmetic checked by code: not applicable. Sources: none (stable)

## S35-M-Q4 · question page 719

ENT.BANK.03 · Tell debit, credit and payment processing apart

Which tool brings money IN from customers?

**Answer: C.** A payment processor

Processors collect customer payments.

✗ A. A business debit card: money out

✗ B. A business credit card: borrowing to pay out

✗ D. A checkbook: usually money out

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-M-Q5 · question page 720

ENT.BANK.03 · Tell debit, credit and payment processing apart

When does the processor usually deposit the money?

**Answer: B.** A day or more after the sale

Deposits often take one or more business days.

✗ A. Exactly one year later: not typical

✗ C. Before the customer buys anything: not possible

✗ D. Never; it keeps the money: false

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-B1-Q1 · question page 721

ENT.BANK.03 · In-doors and out-doors

A payment processor is which door?

**Answer: A.** An IN door

Customer payments come in.

✗ B. A locked door: no

✗ C. No door: no

✗ D. An OUT door: it brings money in

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-B1-Q2 · question page 722

ENT.BANK.03 · In-doors and out-doors

A debit card is which door?

**Answer: C.** An OUT door

Debit takes money out now.

- ✗ A. A locked door: no
- ✗ B. An IN door: it pays out
- ✗ D. A borrowed door: that is credit

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-B1-Q3 · question page 723

ENT.BANK.03 · In-doors and out-doors

A credit card is which door?

**Answer: B.** A borrowed OUT door

Credit lets you spend borrowed money.

- ✗ A. A locked door with no key: no
- ✗ C. A free door: not free
- ✗ D. An IN door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-B1-Q4 · question page 724

ENT.BANK.03 · In-doors and out-doors

What does the processor keep?

**Answer: B.** A fee

Processors charge a fee.

- ✗ A. The customer's card: no
- ✗ C. The whole sale: no
- ✗ D. Nothing: it charges a fee

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-B1-Q5 · question page 725

ENT.BANK.03 · In-doors and out-doors

What may you owe on a credit card later?

**Answer: A.** The balance and maybe interest

Borrowed money must be repaid.

- ✗ B. A free gift: no
- ✗ C. Only a thank-you note to the card company: no
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F1-Q1 · question page 726

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A processor charges 2.9 percent plus 0.30 dollars per sale. A sale is 50 dollars. What is the fee?

**Answer: A.** 1.75 dollars

0.029 x 50 + 0.30 = 1.45 + 0.30 = 1.75 dollars (example rate).

- ✗ B. 1.45 dollars: forgot the 0.30 dollars
- ✗ C. 3.20 dollars: added 2.9 as dollars
- ✗ D. 0.30 dollars: only the fixed part

Arithmetic checked by code: yes. Sources: none (stable)

---

## S35-F1-Q2 · question page 727

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A processor charges 2.9 percent plus 0.30 dollars per sale. How much is deposited for a 50-dollar sale?

**Answer: C.** 48.25 dollars

50 - 1.75 = 48.25 dollars.

- ✗ A. 50.00 dollars: ignores the fee
- ✗ B. 48.55 dollars: forgot the 0.30 dollars
- ✗ D. 46.80 dollars: added 2.9 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

---

## S35-F1-Q3 · question page 728

ENT.BANK.03 · Apply it: estimate deposits and choose tools

Lou buys 300 dollars of supplies with a business credit card and pays the whole bill on time. What interest does he pay, assuming the card charges none when paid in full?

**Answer: B.** 0 dollars

Paying in full on time avoids interest on many cards.

- ✗ A. 30 dollars: guessed a rate
- ✗ C. 3 dollars: guessed a rate
- ✗ D. 300 dollars: that is the purchase

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F1-Q4 · question page 729

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A business wants to stop overspending money it does not have. Which card fits that goal?

**Answer: A.** A business debit card

Debit spends only what is in the account.

- ✗ B. A store credit account: borrowing
- ✗ C. Several new credit cards: more borrowing
- ✗ D. A credit card with a high limit: allows borrowing

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F1-Q5 · question page 730

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A customer pays by card on Friday. The owner needs the cash Friday afternoon. What should she know?

**Answer: C.** Processor deposits often arrive a day or more later

Plan for deposit timing.

- ✗ A. Cash arrives in her wallet instantly: false
- ✗ B. Card sales never deposit: false
- ✗ D. Card deposits always arrive before the customer even pays: false

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F2-Q1 · question page 731

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner charges 2,000 dollars on a credit card and pays only the minimum each month. What is the main risk?

**Answer: D.** Interest builds and the debt lasts a long time

Carrying a balance costs interest.

- ✗ A. The purchase becomes free: no
- ✗ B. No risk; minimum payments clear the debt quickly: slow and costly
- ✗ C. The bank cancels the debt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F2-Q2 · question page 732

ENT.BANK.03 · Handle the complications: fees, timing and debt

Two processors: one charges 2.6 percent plus 0.15 dollars per sale, one charges 3 percent with no fixed fee. For a 10-dollar sale, which costs less?

**Answer: B.** 3 percent (0.30 dollars)

0.026 x 10 + 0.15 = 0.41; 0.03 x 10 = 0.30 (example rates).

✗ A. 2.6 percent plus 0.15 dollars (0.41 dollars): that is higher

✗ C. They cost the same: they differ

✗ D. 3 percent (3.00 dollars): used 3 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

---

## S35-F2-Q3 · question page 733

ENT.BANK.03 · Handle the complications: fees, timing and debt

A processor holds a new seller's deposits for a few days after a large sale. What is a sensible response?

**Answer: D.** Read the processor's terms and plan cash for delays

Processors may hold funds under their terms.

✗ A. Sign up for many processors at once to spread out sales: not a fix

✗ B. Stop recording sales: harmful

✗ C. Assume the money is lost forever: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F2-Q4 · question page 734

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner pays personal bills with the business credit card to earn rewards. What is the problem?

**Answer: A.** It mixes personal and business spending

Keep business cards for business costs.

✗ B. Business cards cannot earn rewards: some do

✗ C. Nothing; rewards make it fine: still commingling

✗ D. Rewards are illegal: not the point

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S35-F2-Q5 · question page 735

ENT.BANK.03 · Handle the complications: fees, timing and debt

Which statement is accurate?

**Answer: A.** Fees and rules differ by provider, so compare current terms.

Provider terms vary.

- ✗ B. Credit cards never charge interest on any unpaid balance.: false
- ✗ C. Debit cards borrow money.: false
- ✗ D. All processors charge the same.: false

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-M-Q1 · question page 737

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner puts into the business is called what?

**Answer: D.** An owner contribution

A contribution is money in from the owner.

- ✗ A. A refund to a customer: that is money out
- ✗ B. An owner's draw for personal use: that is money out
- ✗ C. A customer payment for a product: that is revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-M-Q2 · question page 738

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner withdraws from the business for personal use is called what?

**Answer: B.** An owner's draw

A draw is an owner withdrawal for personal use.

- ✗ A. A loan from a bank: not a draw
- ✗ C. A business expense for supplies: not a draw
- ✗ D. A sales tax payment: not a draw

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-M-Q3 · question page 739

ENT.BANK.04 · Record contributions, draws and owner loans correctly

For a sole proprietor, is a draw a business expense?

**Answer: C.** No

Draws are not business expenses.

- ✗ A. Only in December: no
- ✗ B. Only if over 1,000 dollars: no
- ✗ D. Yes, always: it is not an expense

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-M-Q4 · question page 740

ENT.BANK.04 · Record contributions, draws and owner loans correctly

An owner lends the business 2,000 dollars. What should be done?

**Answer: A.** Write it down with how it will be repaid

Documented loans keep books accurate.

- ✗ B. Keep it secret from any partners: unclear
- ✗ C. Spend it without recording anything: unclear books
- ✗ D. Call it sales income: not revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-M-Q5 · question page 741

ENT.BANK.04 · Record contributions, draws and owner loans correctly

What is the best way to move money between owner and business?

**Answer: D.** A recorded bank transfer

Transfers leave a clear record.

✗ A. Paying personal bills from the business card: commingling

✗ B. Untracked cash from a drawer: hard to prove

✗ C. Guessing amounts at year end: inaccurate

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-B1-Q1 · question page 742

ENT.BANK.04 · A family piggy bank with a notebook

Putting money in the piggy bank is like what?

**Answer: B.** An owner contribution

Money in from the owner.

✗ A. A refund paid to a customer: no

✗ C. An owner's draw: money out

✗ D. A tax bill: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-B1-Q2 · question page 743

ENT.BANK.04 · A family piggy bank with a notebook

Taking money out is like what?

**Answer: D.** An owner's draw

Money out to the owner.

✗ A. A business license: no

✗ B. A contribution: money in

✗ C. A sale: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-B1-Q3 · question page 744

ENT.BANK.04 · A family piggy bank with a notebook

Why keep the notebook?

**Answer: C.** It tells the true story of the money

Records show what happened.

- ✗ A. For decoration: no
- ✗ B. To make the piggy bank heavier: no
- ✗ D. To hide the money: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-B1-Q4 · question page 745

ENT.BANK.04 · A family piggy bank with a notebook

"Borrowed 30, will repay Friday" is like what?

**Answer: A.** A loan with repayment terms

A loan is repaid.

- ✗ B. A tax: no
- ✗ C. A sale: no
- ✗ D. A gift to a friend or cousin: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-B1-Q5 · question page 746

ENT.BANK.04 · A family piggy bank with a notebook

What happens if moves are not written down?

**Answer: B.** No one knows the true balance

Unrecorded moves create confusion.

- ✗ A. Nothing at all: records get lost
- ✗ C. The money multiplies by itself: no
- ✗ D. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F1-Q1 · question page 747

ENT.BANK.04 · Apply it: label owner money moves

Ivy moves 1,000 dollars from her savings into her new LLC account to buy supplies. How should it be recorded?

**Answer: A.** As an owner contribution

Money put in by the owner is a contribution.

- ✗ B. As an owner's draw: that is money out
- ✗ C. As sales revenue from customers: not revenue
- ✗ D. As a supply expense: the purchase is later

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F1-Q2 · question page 748

ENT.BANK.04 · Apply it: label owner money moves

A sole proprietor's business has 5,000 dollars of cash available. The owner withdraws 1,500 dollars as a draw for personal use. With no other transactions, how much cash remains in the business?

**Answer: C.** 3,500 dollars

5,000 - 1,500 = 3,500 dollars of cash. The draw lowers cash, but it is not an expense, so it does not reduce profit.

- ✗ A. 6,500 dollars: added the draw
- ✗ B. 5,000 dollars: ignores the draw
- ✗ D. 1,500 dollars: that is the draw

Arithmetic checked by code: yes. Sources: none (stable)

---

## S36-F1-Q3 · question page 749

ENT.BANK.04 · Apply it: label owner money moves

Omar lends his business 3,000 dollars to be repaid 250 dollars a month. How many months to

repay it?

**Answer: A.** 12 months

3,000 / 250 = 12 months.

- ✗ B. 10 months: miscounted
- ✗ C. 3 months: used thousands
- ✗ D. 25 months: used the wrong numbers

Arithmetic checked by code: yes. Sources: none (stable)

---

## S36-F1-Q4 · question page 750

ENT.BANK.04 · Apply it: label owner money moves

An owner takes 200 dollars cash from the register for personal use without recording it. What is the problem?

**Answer: B.** The books will not match the real money

Every owner withdrawal should be recorded.

- ✗ A. It becomes a business expense: not an expense
- ✗ C. It counts as sales: not sales
- ✗ D. No problem; owners can take any cash: records break

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F1-Q5 · question page 751

ENT.BANK.04 · Apply it: label owner money moves

Which is NOT a business expense for a sole proprietor?

**Answer: D.** The owner's draw

Draws are not expenses.

- ✗ A. Web hosting: expense
- ✗ B. Shipping supplies: expense
- ✗ C. Business software: expense

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F2-Q1 · question page 752

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner takes large draws while the business owes suppliers. What is the risk?

**Answer: C.** The business may not have cash to pay its bills

Draws reduce business cash.

- ✗ A. Draws reduce taxes to zero: false
- ✗ B. No risk; draws create more cash: false
- ✗ D. Suppliers stop asking the business for payment: false

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F2-Q2 · question page 753

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Two equal LLC partners agreed to take draws equally. One takes 2,000 dollars and the other 500 dollars. What should they do?

**Answer: C.** Record it and fix the imbalance as their agreement says

Draws should follow the agreement.

- ✗ A. Delete the records: harmful
- ✗ B. Ignore it forever: creates disputes
- ✗ D. Have their customers vote on which partner was right: not their role

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F2-Q3 · question page 754

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

A corporation's owner who works in the business may be paid through payroll. Why does this differ from a sole proprietor's draw?

**Answer: D.** Business structure affects how owners are paid

Rules depend on structure; a tax professional can help.

- ✗ A. Corporations cannot pay owners: false
- ✗ B. All owners are paid identically: not true
- ✗ C. Sole proprietors must always pay themselves through payroll: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F2-Q4 · question page 755

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner put 2,000 dollars into the business but did not record whether it was a loan or a contribution. Why does the label matter?

**Answer: C.** A loan is a debt to repay; a contribution adds to owner equity

A loan is recorded as a debt repaid on agreed terms. A contribution increases owner equity and has no repayment schedule, though owners may later take money out, for example as draws.

- ✗ A. Both labels mean the money counts as customer sales: neither is sales
- ✗ B. Both labels mean the money is tax the business owes: neither is a tax
- ✗ D. The label has no effect on the books or on repayment: the label decides how the books show it and whether repayment is owed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S36-F2-Q5 · question page 756

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Which statement is accurate?

**Answer: B.** Owner pay rules vary by structure, so check with a tax professional.

Structure and tax treatment matter.

- ✗ A. Owners may never take money out.: not true

✗ C. Every business owner must take a weekly salary through payroll.: not true

✗ D. Draws are always business expenses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-M-Q1 · question page 758

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

What does reconciling mean?

**Answer: B.** Comparing your records with the bank statement

It checks that records match.

✗ A. Opening a second account at another bank: not reconciling

✗ C. Paying all bills on the same day: not reconciling

✗ D. Asking the bank for a loan: not reconciling

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-M-Q2 · question page 759

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

Which is a common reason records and the bank differ?

**Answer: C.** A bank fee that was not recorded

Unrecorded fees cause differences.

✗ A. A customer posted a review: unrelated

✗ B. The owner changed the logo colors: unrelated

✗ D. The website was redesigned: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-M-Q3 · question page 760

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

A check was written but has not cleared. What does that mean?

**Answer: D.** The bank has not processed it yet

Uncleared checks cause timing differences.

- ✗ A. The bank closed the account: no
- ✗ B. The check was never written at all: it was written
- ✗ C. The money was refunded twice: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-M-Q4 · question page 761

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

An unknown 89-dollar charge appears. What should the owner do?

**Answer: A.** Report it to the bank quickly

Unknown charges should be checked quickly.

- ✗ B. Record it as sales: wrong
- ✗ C. Delete it from the records: hides the problem
- ✗ D. Ignore it, since small charges never matter: may be fraud

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-M-Q5 · question page 762

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

How often is reconciling commonly done?

**Answer: B.** Monthly

Monthly reconciling catches problems early.

- ✗ A. Never: problems would be missed
- ✗ C. Only when closing the business: too late
- ✗ D. Once every ten years: too rare

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-B1-Q1 · question page 763

ENT.BANK.05 · Checking a receipt against the bag

In the shopping example, what is compared?

**Answer: A.** The receipt and the bag

Two lists are compared.

- ✗ B. Two stores: no
- ✗ C. Coupons and ads: no
- ✗ D. Prices and the weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-B1-Q2 · question page 764

ENT.BANK.05 · Checking a receipt against the bag

For a business, which two lists are compared?

**Answer: B.** Records and bank statement

Records versus the bank.

- ✗ A. Ads and reviews: no
- ✗ C. Logo and website: no
- ✗ D. Products and their colors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-B1-Q3 · question page 765

ENT.BANK.05 · Checking a receipt against the bag

Two milks on the receipt but one in the bag means what?

**Answer: D.** Something does not match

A mismatch needs checking.

✗ A. Milk is free: no

✗ B. The store closed: no

✗ C. Everything is fine as it is: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-B1-Q4 · question page 766

ENT.BANK.05 · Checking a receipt against the bag

After finding a mismatch, what do you do?

**Answer: B.** Find out why

Investigate differences.

✗ A. Buy more milk: no

✗ C. Ignore it: no

✗ D. Throw away the receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-B1-Q5 · question page 767

ENT.BANK.05 · Checking a receipt against the bag

An item only on the bank statement could be what?

**Answer: A.** A fee you did not record

Fees are common unrecorded items.

✗ B. A paper coupon: no

✗ C. A logo: no

✗ D. A review a customer posted: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-F1-Q1 · question page 768

ENT.BANK.05 · Apply it: find the difference

Records show 2,450 dollars. The bank shows 2,435 dollars. The statement lists a 15-dollar monthly fee not in the records. What explains the difference?

**Answer: D.** The unrecorded 15-dollar fee

2,450 - 2,435 = 15 dollars.

- ✗ A. Nothing; they match: they differ by 15
- ✗ B. A 150-dollar deposit error: wrong size
- ✗ C. A missing 2,435-dollar sale: wrong size

Arithmetic checked by code: yes. Sources: none (stable)

---

## S37-F1-Q2 · question page 769

ENT.BANK.05 · Apply it: find the difference

Records show 1,800 dollars. A 200-dollar check to a supplier has not cleared. What will the bank likely show?

**Answer: A.** 2,000 dollars

The bank has not subtracted the 200 yet: 1,800 + 200 = 2,000.

- ✗ B. 200 dollars: only the check
- ✗ C. 1,600 dollars: subtracted twice
- ✗ D. 1,800 dollars: ignores the uncleared check

Arithmetic checked by code: yes. Sources: none (stable)

---

## S37-F1-Q3 · question page 770

ENT.BANK.05 · Apply it: find the difference

A deposit of 350 dollars was recorded as 530 dollars. What is the difference?

**Answer: B.** 180 dollars

530 - 350 = 180 dollars.

- ✗ A. 530 dollars: not the difference
- ✗ C. 880 dollars: added instead

✗ D. 350 dollars: not the difference

Arithmetic checked by code: yes. Sources: none (stable)

---

## S37-F1-Q4 · question page 771

ENT.BANK.05 · Apply it: find the difference

The statement shows two identical 45-dollar charges from one supplier on the same day. The owner made one purchase. What should she do?

**Answer: A.** Contact the supplier or bank about a possible duplicate

Check duplicates promptly.

✗ B. Record both as normal: one may be wrong
✗ C. Close the business: too extreme
✗ D. Delete both charges from her records and move on: one was real

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-F1-Q5 · question page 772

ENT.BANK.05 · Apply it: find the difference

Which habit makes reconciling easier?

**Answer: D.** Recording transactions as they happen

Timely records simplify matching.

✗ A. Keeping no receipts: harder
✗ B. Mixing in personal purchases now and then: harder
✗ C. Recording only at year end: harder

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-F2-Q1 · question page 773

ENT.BANK.05 · Handle the complications: fraud, timing and delays

An owner has not reconciled for 8 months and finds an unknown charge from 7 months ago. What is the problem?

**Answer: A.** Waiting long can make disputes and recovery harder

Banks may set time limits for reporting problems.

- ✗ B. The bank fixes any old charge automatically: not without notice
- ✗ C. No problem; any timing is fine: delays can matter
- ✗ D. Old charges always disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-F2-Q2 · question page 774

ENT.BANK.05 · Handle the complications: fraud, timing and delays

A small recurring 9.99-dollar charge appears for software the owner cancelled. What should she do?

**Answer: D.** Cancel properly and dispute charges after cancellation

Small recurring charges add up.

- ✗ A. Record it as revenue: wrong
- ✗ B. Ignore it; it is small: adds up
- ✗ C. Hide it from her accountant to keep the books simple: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S37-F2-Q3 · question page 775

ENT.BANK.05 · Handle the complications: fraud, timing and delays

The 9.99-dollar charge has continued for 12 months. How much has it cost?

**Answer: B.** 119.88 dollars

9.99 x 12 = 119.88 dollars.

- ✗ A. 99.90 dollars: 10 months
- ✗ C. 129.87 dollars: 13 months
- ✗ D. 9.99 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

## S37-F2-Q4 · question page 776

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Records and bank match exactly, but the owner forgot to record a customer refund paid in cash. What is true?

**Answer: C.** Matching the bank does not catch cash moves outside the account

Cash outside the bank needs its own records.

- ✗ A. Cash never needs recording: it does
- ✗ B. All money is always perfect: not necessarily
- ✗ D. The bank automatically records the cash kept in her drawer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

## S37-F2-Q5 · question page 777

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Which statement is accurate?

**Answer: B.** Reconciling regularly catches errors and fraud sooner.

Regular checks help.

- ✗ A. Reconciling is only needed by large companies with many staff.: all benefit
- ✗ C. Reconciling replaces keeping receipts.: receipts still matter
- ✗ D. Banks never make mistakes.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

## S38-M-Q1 · question page 779

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address receives official legal papers?

**Answer: D.** The registered agent address

The registered agent receives legal papers.

- ✗ A. The mailing address used for catalogs and bills: ordinary mail
- ✗ B. The address of the owner's favorite supplier: not the business's address
- ✗ C. The address printed on the shipping boxes: not a legal role

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-M-Q2 · question page 780

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Where does the business actually operate?

**Answer: B.** Its physical address

The physical address is where work happens.

- ✗ A. Its website's domain name registrar: not a place of operation
- ✗ C. Its bank's main headquarters building: not where it operates
- ✗ D. Its registered agent's office in every case: may differ

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-M-Q3 · question page 781

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address can often be a PO Box?

**Answer: C.** The mailing address

Many mailing addresses can be PO Boxes.

- ✗ A. The physical place where customers visit: a box is not a workplace
- ✗ B. The kitchen where food is prepared: a physical place
- ✗ D. The registered agent address in Washington: not allowed there

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-M-Q4 · question page 782

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Why might a home-based owner avoid listing her home on every form?

**Answer: A.** Some addresses appear in public records

Public records can expose a home address.

- ✗ B. Home addresses are banned for every business: not banned
- ✗ C. Using a home address doubles the tax owed: no such rule
- ✗ D. Mail cannot be delivered to houses at all: it can

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-M-Q5 · question page 783

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Who sets the rules for registered agent addresses?

**Answer: B.** Each state

State rules apply; Washington is one example.

- ✗ A. The owner's neighbors on the same street: not a rule maker
- ✗ C. Each customer who buys from the business: not customers
- ✗ D. The business's favorite delivery company: not a rule maker

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-B1-Q1 · question page 784

ENT.MAIL.01 · Doors of a house

The slot where letters drop matches which address?

**Answer: D.** The mailing address

Everyday mail goes to the mailing address.

- ✗ A. The website address for online visitors: not in the picture
- ✗ B. The registered agent address for papers: the official door

✗ C. The physical address of the workshop: that is the rooms

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-B1-Q2 · question page 785

ENT.MAIL.01 · Doors of a house

The rooms where the family lives match which address?

**Answer: A.** The physical address

Work happens at the physical address.

✗ B. The bank's branch address downtown: not in the picture
✗ C. The mailing address on envelopes: that is the slot
✗ D. The registered agent address only: the official door

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-B1-Q3 · question page 786

ENT.MAIL.01 · Doors of a house

The official door for legal papers matches which address?

**Answer: C.** The registered agent address

Legal papers go to the agent.

✗ A. The email address for customers: not in the picture
✗ B. The physical address of a warehouse: where work happens
✗ D. The mailing address for catalogs: everyday mail

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-B1-Q4 · question page 787

ENT.MAIL.01 · Doors of a house

Can all three addresses be the same place?

**Answer: D.** Yes, sometimes

They can match or differ.

- ✗ A. Only if the business has no customers: not the rule
- ✗ B. No, never under any state law: they can match
- ✗ C. Only for companies with 500 workers: size is not the rule

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-B1-Q5 · question page 788

ENT.MAIL.01 · Doors of a house

How many kinds of address does the picture show?

**Answer: A.** Three

Agent, mailing and physical.

- ✗ B. Two, mail and email: not the roles shown
- ✗ C. Ten, one for each room in the house: not the roles
- ✗ D. One, because a business has only one address: there are three roles

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F1-Q1 · question page 789

ENT.MAIL.01 · Apply it: choose an address for each job

Ruth runs an online shop from her apartment in Washington and wants privacy. Which plan fits her state's rule?

**Answer: D.** A registered agent service for legal papers, and a PO Box for mail

An agent service and a mailing box keep her home off some records.

- ✗ A. Her PO Box as the registered agent address, and her home for mail: Washington does not allow that
- ✗ B. No address on any form at all: addresses are required
- ✗ C. A made-up street address on every form: false information

Arithmetic checked by code: not applicable. Sources: state_agent

## S38-F1-Q2 · question page 790

ENT.MAIL.01 · Apply it: choose an address for each job

A bakery has a storefront where customers buy bread. What is its physical address?

**Answer: B.** The storefront's street address

The storefront is where it operates.

- ✗ A. The flour supplier's warehouse address: not the bakery
- ✗ C. The owner's PO Box at the post office: that is mailing
- ✗ D. The registered agent service's office: that is for papers

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F1-Q3 · question page 791

ENT.MAIL.01 · Apply it: choose an address for each job

Which address should a supplier use to send a monthly bill?

**Answer: A.** The mailing address

Ordinary bills go to the mailing address.

- ✗ B. A customer's home address: not the business
- ✗ C. The registered agent address for lawsuits: for legal papers
- ✗ D. The state filing office address: not the business

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F1-Q4 · question page 792

ENT.MAIL.01 · Apply it: choose an address for each job

A registered agent service costs 125 dollars a year and a PO Box costs 90 dollars a year. What is the yearly total for both?

**Answer: B.** 215 dollars

125 + 90 = 215 dollars (example prices).

✗ A. 90 dollars, the PO Box alone: only one item

✗ C. 125 dollars, the agent service alone: only one item

✗ D. 35 dollars, the difference: subtracted

Arithmetic checked by code: yes. Sources: state_agent

---

## S38-F1-Q5 · question page 793

ENT.MAIL.01 · Apply it: choose an address for each job

Kai lists his home as all three addresses. What is one tradeoff?

**Answer: A.** His home address may appear in public records

Convenience versus privacy.

✗ B. His taxes are automatically doubled: no such rule

✗ C. He can never receive any packages: packages can arrive

✗ D. His LLC automatically becomes invalid in the state: no such rule

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F2-Q1 · question page 794

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

An owner moves her business to a new building. Which records may need updating?

**Answer: C.** State filings, bank, licenses and mailing lists

Address changes must be reported to each place.

✗ A. Only the logo on her social media page: not enough

✗ B. Nothing, because addresses update themselves: not automatic

✗ D. Only her personal library card: not business records

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F2-Q2 · question page 795

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A friend in another state says PO Boxes are fine for registered agents everywhere. What should the owner do?

**Answer: D.** Check her own state's official rules

State rules differ.

- ✗ A. Follow the friend because all states match: they differ
- ✗ B. Skip naming a registered agent: usually required
- ✗ C. Use a PO Box and hope the state accepts it: may be rejected

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F2-Q3 · question page 796

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A registered agent service forwards legal papers by email. What should the owner do when one arrives?

**Answer: D.** Read it promptly, because legal papers can have deadlines

Legal papers often require timely action.

- ✗ A. Ignore it until year end: deadlines may pass
- ✗ B. Delete it if the subject line looks boring or routine: may be important
- ✗ C. Forward it to customers: not appropriate

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F2-Q4 · question page 797

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which statement about public records is accurate?

**Answer: A.** Some business addresses are visible to the public.

Plan with privacy in mind.

- ✗ B. Every business address is always kept secret.: not true
- ✗ C. Only email addresses are public.: not true

✗ D. Public records never include addresses.: not true

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S38-F2-Q5 · question page 798

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which source should confirm address rules for a filing?

**Answer: B.** The state's official filing office or website

Official sources give the current rule.

✗ A. A post on a neighborhood message board: unreliable
✗ C. A shipping company's ad: not the rule maker
✗ D. A guess based on another state's rule: differs

Arithmetic checked by code: not applicable. Sources: state_agent

---

## S39-M-Q1 · question page 800

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Where is a PO Box rented?

**Answer: A.** At a Post Office

PO Boxes are rented from the Postal Service.

✗ B. At the state business filing office: not a PO Box
✗ C. At any coffee shop that sells stamps: not a PO Box
✗ D. At a bank branch near the business: not a PO Box

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-M-Q2 · question page 801

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What does the Street Addressing option allow?

**Answer: C.** Using the Post Office's street address with the box number

It lets carriers that need a street address deliver.

- ✗ A. Skipping the box rental fee for a year: not the purpose
- ✗ B. Receiving legal papers in every state: agent rules differ
- ✗ D. Using any home address on the street as if it were the box: not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-M-Q3 · question page 802

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What is a CMRA?

**Answer: A.** A private business that receives mail for customers

CMRAs offer private mailboxes.

- ✗ B. A government agency that issues tax ID numbers to businesses: that is the IRS
- ✗ C. A state rule for registered agents: not a rule
- ✗ D. A type of business bank account: not a bank account

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-M-Q4 · question page 803

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Which form is used so a CMRA can receive mail for a customer?

**Answer: B.** USPS Form 1583

Form 1583 authorizes the CMRA.

- ✗ A. A state DBA certificate: a name filing
- ✗ C. A city business license form: local permission
- ✗ D. IRS Form SS-4 for an EIN: that is a tax form

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

## S39-M-Q5 · question page 804

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Is Street Addressing offered at every Post Office?

**Answer: A.** No; availability varies

Ask the specific Post Office.

- ✗ B. Only at locations in large cities: not stated
- ✗ C. Only for customers with no business: not the rule
- ✗ D. Yes, at every single location: not everywhere

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-B1-Q1 · question page 805

ENT.MAIL.02 · Lockers at a gym

A PO Box is like a locker where?

**Answer: B.** At the post office

PO Boxes are at post offices.

- ✗ A. At your house: no
- ✗ C. At the bank: no
- ✗ D. At a private shop: that is a private mailbox

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-B1-Q2 · question page 806

ENT.MAIL.02 · Lockers at a gym

A private mailbox is like a locker where?

**Answer: D.** At a private shop

Private stores offer them.

✗ A. At the state office: no

✗ B. At the post office: that is a PO Box

✗ C. At a school: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-B1-Q3 · question page 807

ENT.MAIL.02 · Lockers at a gym

Why sign a form at the private shop?

**Answer: D.** So the shop may accept your mail

Permission is required.

✗ A. To open a bank account at the shop: no

✗ B. To get a discount: not the reason

✗ C. To change your name: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-B1-Q4 · question page 808

ENT.MAIL.02 · Lockers at a gym

Why do some post offices offer a street address?

**Answer: B.** Some carriers deliver only to street addresses

It helps carriers that need a street address.

✗ A. To lower taxes: no

✗ C. To make the lockers bigger for packages: no

✗ D. To replace the key: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-B1-Q5 · question page 809

ENT.MAIL.02 · Lockers at a gym

What do you add to the post office's street address?

**Answer: C.** Your box number

The box number routes the mail.

- ✗ A. Your birthday: no
- ✗ B. Your phone number: no
- ✗ D. Your logo: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F1-Q1 · question page 810

ENT.MAIL.02 · Apply it: pick a mailbox option

Ana ships products and her suppliers use private package carriers that need a street address. She rents a PO Box. What should she ask her Post Office?

**Answer: C.** Whether it offers the Street Addressing option

Street Addressing can let those carriers deliver.

- ✗ A. Whether it is open on holidays: not the need
- ✗ B. Whether it can file her taxes: no
- ✗ D. Whether it sells padded envelopes in bulk at a discount: not the need

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F1-Q2 · question page 811

ENT.MAIL.02 · Apply it: pick a mailbox option

Ben rents a box at a private mail store. What must he complete so the store may receive his mail?

**Answer: D.** USPS Form 1583 with identity documents

Form 1583 authorizes the CMRA.

- ✗ A. A business license renewal: not this purpose
- ✗ B. A trademark application: not this purpose

✗ C. An IRS application for a new EIN number: not this purpose

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F1-Q3 · question page 812

ENT.MAIL.02 · Apply it: pick a mailbox option

A PO Box costs 40 dollars for 3 months. What is the cost for 12 months at the same rate?

**Answer: A.** 160 dollars

12 / 3 = 4 periods; 4 x 40 = 160 dollars (example price).

✗ B. 40 dollars, the same as 3 months: only one period
✗ C. 120 dollars, three times the fee: miscounted periods
✗ D. 480 dollars, twelve times the fee: multiplied by months

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

---

## S39-F1-Q4 · question page 813

ENT.MAIL.02 · Apply it: pick a mailbox option

A private mailbox costs 25 dollars a month; a PO Box costs 160 dollars a year. How much more does the private mailbox cost per year?

**Answer: B.** 140 dollars

25 x 12 = 300; 300 - 160 = 140 dollars (example prices).

✗ A. 160 dollars, the PO Box alone: not the difference
✗ C. 135 dollars, a small miscalculation: arithmetic slip
✗ D. 300 dollars, the private box alone: not the difference

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

---

## S39-F1-Q5 · question page 814

ENT.MAIL.02 · Apply it: pick a mailbox option

Which option is run by a private business?

**Answer: D.** A private mailbox at a CMRA

CMRAs are private businesses.

- ✗ A. PO Box Street Addressing: postal
- ✗ B. Home mail delivery by the Postal Service: postal
- ✗ C. A PO Box at the Post Office: postal

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F2-Q1 · question page 815

ENT.MAIL.02 · Handle the complications: rules that change and limits

An online article from several years ago explains Form 1583 steps. What is the concern?

**Answer: A.** Requirements have changed, so check the current form

Use the current form and the provider's instructions.

- ✗ B. Online articles are always newer than the official forms: not true
- ✗ C. Nothing; postal forms never change: they can change
- ✗ D. The form no longer exists for anyone: not stated

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F2-Q2 · question page 816

ENT.MAIL.02 · Handle the complications: rules that change and limits

An owner wants to use her private mailbox as her registered agent address in Washington. What is the issue?

**Answer: D.** Washington does not allow private or virtual mailboxes for it

The agent needs a physical in-state street address.

- ✗ A. It must be a PO Box instead: also not allowed there
- ✗ B. Private mailboxes cannot receive any mail or packages at all: they can
- ✗ C. No issue; any box works in every state: not in Washington

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

## S39-F2-Q3 · question page 817

ENT.MAIL.02 · Handle the complications: rules that change and limits

A box holder using Street Addressing gives a package carrier the address. What must be included?

**Answer: B.** The box number with the Post Office street address

The box number is part of the address.

- ✗ A. Her home address instead: defeats the purpose
- ✗ C. The Post Office's phone number: not an address
- ✗ D. Only the Post Office street address with no box number: mail cannot be routed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F2-Q4 · question page 818

ENT.MAIL.02 · Handle the complications: rules that change and limits

A mail store closes suddenly. What should an owner using it do first?

**Answer: C.** Update her mailing address with banks, customers and agencies

A changed mailing address must be updated everywhere.

- ✗ A. Do nothing; mail forwards itself forever: not guaranteed
- ✗ B. Close the business entirely: too extreme
- ✗ D. Wait a few months to see if her mail still arrives somewhere: risky

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S39-F2-Q5 · question page 819

ENT.MAIL.02 · Handle the complications: rules that change and limits

Which statement is accurate?

**Answer: B.** Availability and rules vary, so confirm with the Post Office or provider.

Check the specific location.

- ✗ A. PO Boxes are free.: they are rented
- ✗ C. Every Post Office offers every service at the same price nationwide.: not true
- ✗ D. Private mailboxes need no paperwork.: Form 1583 applies

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

---

## S40-M-Q1 · question page 821

ENT.MAIL.03 · Match each organization to the kind of address it accepts

In Washington, what can be listed separately as a mailing address?

**Answer: B.** A PO Box

A PO Box can be the mailing address.

- ✗ A. A made-up address that sounds official: false information
- ✗ C. Nothing other than the agent's address: a separate mailing address is allowed
- ✗ D. The address of another state's office: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-M-Q2 · question page 822

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Why might a package carrier fail to deliver to a plain PO Box?

**Answer: A.** Some carriers need a street address

Street addresses are needed by some carriers.

- ✗ B. Package carriers deliver only to banks: not true
- ✗ C. PO Boxes are only for postcards and nothing else: boxes hold more
- ✗ D. Packages are not allowed for businesses: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

## S40-M-Q3 · question page 823

ENT.MAIL.03 · Match each organization to the kind of address it accepts

What should an owner do before filling in an address on a form?

**Answer: C.** Read what kind of address the form asks for

Each form may require a specific type.

- ✗ A. Copy an address from a competitor's form: false information
- ✗ B. Use whichever address is shortest to write: may be the wrong kind
- ✗ D. Leave the address line blank to stay private: forms may be rejected

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

## S40-M-Q4 · question page 824

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which organization may require a physical address when opening an account?

**Answer: D.** A bank

Banks may ask for a physical address.

- ✗ A. A supplier of packing tape: not usually
- ✗ B. A social media follower: not relevant
- ✗ C. A customer buying one product online: not usually

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

## S40-M-Q5 · question page 825

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which address does a state usually require for the registered agent?

**Answer: B.** A physical in-state street address

Agents need a physical location.

✗ A. A PO Box in any state: often not allowed

✗ C. A phone number with voicemail: not an address

✗ D. Any email address the owner checks: not a physical address

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-B1-Q1 · question page 826

ENT.MAIL.03 · Different doors accept different deliveries

Where do big deliveries go at the school?

**Answer: D.** The loading dock

Each door has its own job.

✗ A. The classroom: homework only

✗ B. The parking lot: not a door

✗ C. The office mail tray: letters

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-B1-Q2 · question page 827

ENT.MAIL.03 · Different doors accept different deliveries

Ordinary letters for a business can often go where?

**Answer: C.** A PO Box

Letters often go to a box.

✗ A. A loading dock only: no

✗ B. Nowhere: they must go somewhere

✗ D. Only a registered agent: not ordinary mail

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-B1-Q3 · question page 828

ENT.MAIL.03 · Different doors accept different deliveries

Legal papers usually need what kind of address?

**Answer: A.** A real street address

Papers need a physical place.

- ✗ B. An email only: not usually
- ✗ C. A phone number with voicemail: not an address
- ✗ D. Any PO Box: often not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-B1-Q4 · question page 829

ENT.MAIL.03 · Different doors accept different deliveries

Some packages need what kind of address?

**Answer: B.** A street address

Some carriers need a street address.

- ✗ A. A PO Box only: some carriers cannot
- ✗ C. A website: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-B1-Q5 · question page 830

ENT.MAIL.03 · Different doors accept different deliveries

Sending a truck to a classroom is like what mistake?

**Answer: D.** Using the wrong address type

Match the address to the job.

- ✗ A. Using a pen: no
- ✗ B. Paying a bill: no
- ✗ C. Writing a short letter to a friend: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F1-Q1 · question page 831

ENT.MAIL.03 · Apply it: fill in the right address

Tom's Washington LLC form asks for the registered agent address and a mailing address. He has a PO Box and an agent service. What fits?

**Answer: C.** Agent service address for the agent; PO Box for mailing

Match each line to the allowed type.

- ✗ A. Agent service for mailing and PO Box for the agent: reversed
- ✗ B. Leave both lines blank: rejected
- ✗ D. PO Box for both lines: not allowed for the agent

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F1-Q2 · question page 832

ENT.MAIL.03 · Apply it: fill in the right address

A supplier ships by a private carrier that cannot deliver to plain PO Boxes. The owner's Post Office offers Street Addressing. What should she give the supplier?

**Answer: A.** The Post Office street address with her box number

Street Addressing helps here.

- ✗ B. A neighbor's street address, without asking first: not appropriate
- ✗ C. Her plain PO Box number only: carrier cannot deliver
- ✗ D. The registered agent's address: not for packages

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F1-Q3 · question page 833

ENT.MAIL.03 · Apply it: fill in the right address

Of 5 forms, 2 require a physical street address and the rest accept a PO Box. How many accept a PO Box?

**Answer: D.** 3

5 - 2 = 3 forms.

- ✗ A. 7, the two numbers added: added
- ✗ B. 2, the forms needing a street address: reversed
- ✗ C. 5, every one of the forms: not all

Arithmetic checked by code: yes. Sources: usps_pobox; state_agent

---

## S40-F1-Q4 · question page 834

ENT.MAIL.03 · Apply it: fill in the right address

A bank form asks for the business's physical address. The owner works from home. What should she write?

**Answer: D.** Her actual home address, if that is where the business operates

Give truthful information of the requested type.

- ✗ A. The bank's own address: not her business
- ✗ B. Her PO Box number, labeled on the form as her physical address: not physical
- ✗ C. A fake address for privacy: false information

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F1-Q5 · question page 835

ENT.MAIL.03 · Apply it: fill in the right address

Which address type is most often accepted for ordinary bills and letters?

**Answer: C.** A mailing address such as a PO Box

Mailing addresses handle ordinary mail.

- ✗ A. Only the registered agent address: not required for bills
- ✗ B. Only a storefront address: not required
- ✗ D. Only an overseas address: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F2-Q1 · question page 836

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A state rejected a filing because the agent address was a private mailbox. What should the owner do?

**Answer: B.** Name an agent with a physical in-state address and refile

Fix the address type.

- ✗ A. Use a PO Box instead of the private mailbox and refile: also often rejected
- ✗ C. Give up on forming the LLC: not necessary
- ✗ D. File the same form again unchanged: will be rejected again

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F2-Q2 · question page 837

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A licensing office asks for a physical address but the owner has only a PO Box. What should she do?

**Answer: C.** Ask the office what address it accepts for her situation

Ask the issuer when unsure.

- ✗ A. Write the PO Box anyway and call it her physical address: misleading
- ✗ B. Use a random street address: false information
- ✗ D. Skip the license: not compliant

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F2-Q3 · question page 838

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which mistake is most likely to cause missed legal papers?

**Answer: C.** Listing an address where no one receives documents

The agent address must be monitored.

- ✗ A. Using a business email for customers: fine
- ✗ B. Listing a PO Box as the ordinary mailing address: often fine
- ✗ D. Printing the address on invoices: fine

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F2-Q4 · question page 839

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

An owner used three different addresses on her forms. Is that wrong?

**Answer: D.** Not necessarily, if each fits the form's request

Different forms can need different types.

- ✗ A. Yes, it is always illegal: not true
- ✗ B. Yes, the bank will close her account: not necessarily
- ✗ C. Yes, businesses may only have one address: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

## S40-F2-Q5 · question page 840

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which statement is accurate?

**Answer: B.** Address rules depend on the organization and state, so read each form.

Check each requirement.

- ✗ A. Only email addresses matter today.: not true
- ✗ C. Every organization accepts a PO Box for every kind of address.: not true
- ✗ D. No organization accepts PO Boxes.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

## S41-M-Q1 · question page 842

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Why plan how often to check a business mailbox?

**Answer: C.** Important letters can have deadlines

Bills and notices may need action.

- ✗ A. Boxes must be emptied every hour by law: no such rule
- ✗ B. Checking often lowers the rental fee: not how fees work
- ✗ D. Mail disappears after exactly one day: not the reason

Arithmetic checked by code: not applicable. Sources: usps_pobox

## S41-M-Q2 · question page 843

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What may happen if a box rental is not renewed?

**Answer: A.** The box can be closed and mail disrupted

Renew before the period ends.

- ✗ B. The Post Office files the owner's taxes: not its job
- ✗ C. The box becomes free for life: not how rentals work
- ✗ D. Mail is automatically sent to customers: not how it works

Arithmetic checked by code: not applicable. Sources: usps_pobox

## S41-M-Q3 · question page 844

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

When moving, what should the owner do besides forwarding mail?

**Answer: B.** Update the address with banks, customers and agencies

Records still need updating.

✗ A. Cancel the business bank account: not required

✗ C. Only change the logo on her website: not an address update

✗ D. Nothing, because forwarding fixes everything forever: not a full fix

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-M-Q4 · question page 845

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What do PO Box fees depend on?

**Answer: D.** Location and box size

Fees vary by location and size.

✗ A. How many products the business sells: not the basis

✗ B. The business's logo colors: irrelevant

✗ C. The owner's age and height: irrelevant

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-M-Q5 · question page 846

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Which is a good practice for mailbox keys?

**Answer: B.** Keep them safe and decide who may use them

Control access to business mail.

✗ A. Give keys to any customer who asks: unsafe

✗ C. Never decide who picks up mail: causes confusion

✗ D. Tape a spare key to the outside of the box: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-B1-Q1 · question page 847

ENT.MAIL.04 · Renting a storage unit

Choosing a mailbox size is like what?

**Answer: A.** Choosing a storage unit size

Pick a size that fits.

- ✗ B. Choosing a movie to watch: no
- ✗ C. Choosing a meal: no
- ✗ D. Choosing a song: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-B1-Q2 · question page 848

ENT.MAIL.04 · Renting a storage unit

What happens if you forget to pay for the unit?

**Answer: D.** It can be closed

Renewal matters.

- ✗ A. Nothing at all: it can be closed
- ✗ B. It becomes free: no
- ✗ C. It gets bigger: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-B1-Q3 · question page 849

ENT.MAIL.04 · Renting a storage unit

Why check the unit regularly?

**Answer: C.** To find important items in time

Regular checks catch deadlines.

- ✗ A. To make it heavier: no
- ✗ B. To lower taxes: no
- ✗ D. To change the color of its door: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-B1-Q4 · question page 850

ENT.MAIL.04 · Renting a storage unit

What should you do with the key?

**Answer: B.** Keep it safe

Protect access.

- ✗ A. Leave it in the lock: unsafe
- ✗ C. Share it with strangers: unsafe
- ✗ D. Lose it: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-B1-Q5 · question page 851

ENT.MAIL.04 · Renting a storage unit

If you move, what do you tell people?

**Answer: C.** Your new location

Update your address.

- ✗ A. A fake location: no
- ✗ B. Your old location: no
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F1-Q1 · question page 852

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A small box costs 60 dollars for 6 months and a medium box costs 95 dollars for 6 months. How much more does the medium box cost per year?

**Answer: A.** 70 dollars

(95 - 60) x 2 = 70 dollars (example prices).

- ✗ B. 190 dollars, the medium box per year: not the difference
- ✗ C. 120 dollars, the small box per year: not the difference
- ✗ D. 35 dollars, the 6-month difference: only half a year

Arithmetic checked by code: yes. Sources: usps_pobox

---

## S41-F1-Q2 · question page 853

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

Mia receives tax notices that give 30 days to respond. She checks her box once a month. What is a better plan?

**Answer: D.** Check at least weekly

More frequent checks leave time to respond.

- ✗ A. Check once a year: too rare
- ✗ B. Check only when she remembers: unreliable
- ✗ C. Never check; notices arrive by email: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F1-Q3 · question page 854

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A box was rented on March 1 for 6 months. When does it need renewal?

**Answer: A.** By September 1

March + 6 months = September.

- ✗ B. By March 1 next year: a year is too long
- ✗ C. Never; rentals last forever: they expire
- ✗ D. By April 1, one month later: too early

Arithmetic checked by code: yes. Sources: usps_pobox

---

## S41-F1-Q4 · question page 855

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

An owner's employee picks up mail. What should the owner set up?

**Answer: D.** Clear permission and a key for that employee only

Control who has access.

- ✗ A. No rules about who collects mail: confusing
- ✗ B. A key hidden under the doormat: unsafe
- ✗ C. A sign on the wall that lists the box's lock combination: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F1-Q5 · question page 856

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A business moved and set up mail forwarding. Six months later some mail still goes to the old address. What is the fix?

**Answer: B.** Update the address directly with those senders

Senders need the new address.

- ✗ A. Ignore the misdirected mail: risky
- ✗ C. Rely on forwarding forever: it may end
- ✗ D. Move the business back to the old address: unnecessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

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## S41-F2-Q1 · question page 857

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A package is too large for the box. What should the owner ask the Post Office?

**Answer: C.** How it handles packages that do not fit

Many locations hold packages for pickup; ask how.

- ✗ A. Whether packages are banned for businesses: not true

✗ B. Whether it can deliver to her neighbor without asking: not appropriate

✗ D. Whether she must rent ten boxes: not necessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F2-Q2 · question page 858

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

An owner travels for three weeks. What is a sensible plan for her business mail?

**Answer: D.** Arrange for a trusted person or a hold service

Plan coverage while away.

✗ A. Let mail pile up and hope nothing is urgent: risky

✗ B. Ask customers to stop writing: unrealistic

✗ C. Close the box for the trip: disrupts mail

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F2-Q3 · question page 859

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A late fee notice arrived in the box two weeks ago, but she checked late. What lesson fits?

**Answer: D.** Regular checks prevent missed deadlines

Build a checking routine.

✗ A. Mailboxes cause late fees: missed checking did

✗ B. Bills never matter: they do

✗ C. Late fees are always forgiven if you ask: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S41-F2-Q4 · question page 860

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Box rent rises from 120 to 150 dollars a year. What is the percent increase?

**Answer: C.** 25 percent

(150 - 120) / 120 = 0.25 = 25 percent.

- ✗ A. 150 percent, the new price: not the increase
- ✗ B. 20 percent, based on the new price: wrong base
- ✗ D. 30 percent, the dollar change: used dollars as percent

Arithmetic checked by code: yes. Sources: usps_pobox

---

## S41-F2-Q5 · question page 861

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Which statement is accurate?

**Answer: C.** Fees and services vary by location, so ask the specific Post Office.

Confirm locally.

- ✗ A. Forwarding replaces updating records.: not true
- ✗ B. Every Post Office charges the same price for every box size.: not true
- ✗ D. Boxes never need renewal.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

## S42-M-Q1 · question page 863

ENT.MAIL.05 · Set up professional email, phone and voicemail

Which email address looks most established for a business called Lime Tree Pets?

**Answer: B.** hello@limetreepets.example

An address on the business domain looks established.

- ✗ A. xyz123@freemail.example: random
- ✗ C. catsrule99@freemail.example: unrelated name
- ✗ D. limetreefan2003@freemail.example: personal style

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-M-Q2 · question page 864

ENT.MAIL.05 · Set up professional email, phone and voicemail

Why use a separate business phone number?

**Answer: A.** It separates business calls and protects privacy

Separation and privacy are the main benefits.

- ✗ B. It doubles the number of customers each month: not guaranteed
- ✗ C. It is required for every business by federal law: not a universal law
- ✗ D. It removes the need for any email: still useful

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-M-Q3 · question page 865

ENT.MAIL.05 · Set up professional email, phone and voicemail

What should a business voicemail greeting include?

**Answer: C.** The business name and when to expect a reply

Name and response time help callers.

- ✗ A. Nothing; silence is professional: confusing
- ✗ B. A long story about the founder: too long
- ✗ D. The owner's home address and birthday: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-M-Q4 · question page 866

ENT.MAIL.05 · Set up professional email, phone and voicemail

A greeting promises a reply within one business day. What builds trust?

**Answer: D.** Actually replying within one business day

Kept promises build trust.

✗ A. Replying whenever convenient, even a week later: breaks the promise

✗ B. Deleting messages from unknown numbers: loses customers

✗ C. Changing the promise every week: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-M-Q5 · question page 867

ENT.MAIL.05 · Set up professional email, phone and voicemail

What is a web domain?

**Answer: A.** The business's own website name, like yourshop.example

A domain can also host email.

✗ B. A type of business bank account: not a domain

✗ C. A shipping label format: not a domain

✗ D. A state filing that registers the business's legal name: that is a DBA or entity

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-B1-Q1 · question page 868

ENT.MAIL.05 · A shop's front window and bell

A business email on its own web name is like what?

**Answer: C.** A clean shop window

It looks tidy and ready.

✗ A. A broken shop bell: no

✗ B. A dark sign: no

✗ D. A locked door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-B1-Q2 · question page 869

ENT.MAIL.05 · A shop's front window and bell

Why keep a separate business phone?

**Answer: B.** To keep business calls apart from family calls

Separation helps.

- ✗ A. To avoid hearing from any customers at all: no
- ✗ C. To raise prices: no
- ✗ D. To get more ads: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-B1-Q3 · question page 870

ENT.MAIL.05 · A shop's front window and bell

A voicemail greeting should say what?

**Answer: C.** Who you are and when you will call back

Name and timing.

- ✗ A. A joke only: not helpful
- ✗ B. Your bank PIN and online password: unsafe
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-B1-Q4 · question page 871

ENT.MAIL.05 · A shop's front window and bell

A bell that works tells customers what?

**Answer: A.** Someone is ready to help

Reachability builds trust.

- ✗ B. The owner left: no
- ✗ C. The shop is closed for good: no
- ✗ D. Prices went up: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-B1-Q5 · question page 872

ENT.MAIL.05 · A shop's front window and bell

Email, phone and voicemail are like what for a modern shop?

**Answer: D.** Its window and bell

They are how customers reach you.

- ✗ A. Its back parking lot: no
- ✗ B. Its basement: no
- ✗ C. Its roof: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F1-Q1 · question page 873

ENT.MAIL.05 · Apply it: improve contact details

Rita's flyers list "rita.party.girl@freemail.example." She owns ritasbakes.example. What is the best change?

**Answer: B.** Use an address like orders@ritasbakes.example

A domain address looks professional.

- ✗ A. Remove all contact details from the flyer: customers cannot reach her
- ✗ C. Keep the personal address on every flyer: less established
- ✗ D. List her home address instead of email: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F1-Q2 · question page 874

ENT.MAIL.05 · Apply it: improve contact details

Leo answers business calls on his personal phone at family dinners. What helps most?

**Answer: C.** A separate business number with set hours

Separation sets boundaries.

- ✗ A. Answering every call at any hour: stressful
- ✗ B. Never answering business calls: loses customers
- ✗ D. Giving customers his family's numbers: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F1-Q3 · question page 875

ENT.MAIL.05 · Apply it: improve contact details

A business gets 40 voicemails a month and promises a same-day reply. It replies same day to 34. What percent met the promise?

**Answer: A.** 85 percent

34 / 40 = 0.85 = 85 percent.

- ✗ B. 15 percent, the ones missed: reversed
- ✗ C. 34 percent, the count itself: not a percent of 40
- ✗ D. 6 percent, the number missed: not a percent

Arithmetic checked by code: yes. Sources: none (stable)

---

## S42-F1-Q4 · question page 876

ENT.MAIL.05 · Apply it: improve contact details

Which voicemail greeting is best?

**Answer: A.** "You've reached Pine Cleaners. We reply within one business day."

Clear name and promise.

- ✗ B. "Call my cousin instead at home.": unprofessional
- ✗ C. "Hey, it's me. Leave something after the beep, maybe I'll call.": unclear
- ✗ D. "This number is unavailable forever.": confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-F1-Q5 · question page 877

ENT.MAIL.05 · Apply it: improve contact details

A customer emails on Saturday; the business replies Monday as its auto-reply promised. Was the promise kept?

**Answer: C.** Yes, it matched what was promised

Keeping the stated promise builds trust.

- ✗ A. No, weekends are banned for email: not true
- ✗ B. Only if the reply was very long: length is not the test
- ✗ D. No, every email needs a reply in minutes: not what was promised

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-F2-Q1 · question page 878

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Customers call at midnight. What is a reasonable boundary?

**Answer: B.** State business hours in the greeting and reply then

Set and share clear hours.

- ✗ A. Answer every midnight call to keep them happy: unsustainable
- ✗ C. Give out a personal number for night calls: privacy risk
- ✗ D. Block all customer numbers: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

## S42-F2-Q2 · question page 879

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

An email claims to be from the owner's bank and asks for her password. What should she do?

**Answer: B.** Contact the bank through its official number

Verify through official channels.

✗ A. Click the email link and log in to check: scam risk

✗ C. Reply with the password quickly: scam risk

✗ D. Forward it to customers: not helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F2-Q3 · question page 880

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

The owner's inbox gets 200 messages a week and replies are slipping. Which step helps most?

**Answer: C.** Use folders or templates for common questions

Organized tools save time.

✗ A. Stop listing any email address: customers cannot reach her

✗ B. Delete every message unread: loses customers

✗ D. Promise faster replies she cannot meet: breaks trust

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F2-Q4 · question page 881

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

A greeting promises a reply in one hour, but the owner is often away for half a day. What should change?

**Answer: A.** Promise a time she can actually meet

Promises should be realistic.

✗ B. Keep the promise and miss it often: breaks trust

✗ C. Remove the voicemail entirely: confusing

✗ D. Never check messages: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S42-F2-Q5 · question page 882

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Which statement is accurate?

**Answer: A.** Clear, realistic response promises build more trust than fast but broken ones.

Reliability builds trust.

- ✗ B. Free email addresses are illegal for any business to use for customer messages.: not illegal
- ✗ C. A business must answer every call at any hour.: not required
- ✗ D. Customers never care about replies.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-M-Q1 · question page 884

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a one-time cost?

**Answer: B.** Buying a used oven to start a bakery

Equipment bought once to start is one-time.

- ✗ A. Renewing the business license every year: repeats yearly
- ✗ C. Paying for a website hosting plan each month: repeats monthly
- ✗ D. Paying the monthly rent for the bakery space: repeats monthly

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-M-Q2 · question page 885

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a recurring cost?

**Answer: A.** A software subscription paid monthly

Subscriptions repeat.

- ✗ B. A sewing machine bought on opening day: paid once
- ✗ C. A single state filing fee to form the LLC: paid once

✗ D. A logo designed once by a freelancer: paid once

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-M-Q3 · question page 886

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

A phone plan costs 30 dollars a month. What is the yearly cost?

**Answer: C.** 360 dollars

30 x 12 = 360 dollars.

✗ A. 390 dollars: used 13 months
✗ B. 300 dollars: used 10 months
✗ D. 30 dollars: one month only

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-M-Q4 · question page 887

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Insurance costs 600 dollars a year. What is that per month?

**Answer: D.** 50 dollars

600 / 12 = 50 dollars.

✗ A. 60 dollars: divided by 10
✗ B. 600 dollars: not converted
✗ C. 7,200 dollars: multiplied by 12

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-M-Q5 · question page 888

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Why convert recurring costs to the same period?

**Answer: B.** To compare and add them fairly

Same periods allow fair comparison.

- ✗ A. To make every cost look smaller than it is: not the purpose
- ✗ C. Because one-time costs never matter: they do
- ✗ D. Because yearly costs are not real costs: they are real

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-B1-Q1 · question page 889

ENT.COST.01 · Converting between months and years

How many months are in a year?

**Answer: C.** 12

There are 12 months.

- ✗ A. 7: days in a week
- ✗ B. 10: too few
- ✗ D. 52: weeks in a year

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-B1-Q2 · question page 890

ENT.COST.01 · Converting between months and years

20 dollars a month is how much per year?

**Answer: A.** 240 dollars

20 x 12 = 240.

- ✗ B. 120 dollars: used 6
- ✗ C. 32 dollars: added 12
- ✗ D. 200 dollars: used 10

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-B1-Q3 · question page 891

ENT.COST.01 · Converting between months and years

120 dollars a year is how much per month?

**Answer: D.** 10 dollars

120 / 12 = 10.

- ✗ A. 12 dollars: divided by 10
- ✗ B. 1,440 dollars: multiplied
- ✗ C. 108 dollars: subtracted 12

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-B1-Q4 · question page 892

ENT.COST.01 · Converting between months and years

To change a monthly amount to yearly, you do what?

**Answer: C.** Multiply by 12

Multiply monthly by 12.

- ✗ A. Add 12: not a conversion
- ✗ B. Divide by 12: that is yearly to monthly
- ✗ D. Subtract 12: not a conversion

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-B1-Q5 · question page 893

ENT.COST.01 · Converting between months and years

15 dollars a month is how much per year?

**Answer: A.** 180 dollars

15 x 12 = 180.

- ✗ B. 150 dollars: used 10
- ✗ C. 27 dollars: added 12

✗ D. 165 dollars: used 11

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F1-Q1 · question page 894

ENT.COST.01 · Apply it: list and total first-year costs

Startup: a 400-dollar laptop and a 100-dollar filing fee. Recurring: 20 dollars a month for software. What is the total for the first year?

**Answer: B.** 740 dollars

400 + 100 + 20 x 12 = 740 dollars.

✗ A. 240 dollars: software only
✗ C. 500 dollars: no software
✗ D. 520 dollars: one month of software

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F1-Q2 · question page 895

ENT.COST.01 · Apply it: list and total first-year costs

Which cost will continue in year two?

**Answer: D.** Monthly booth rent at a market

Recurring costs continue.

✗ A. The starter set of tools: one-time
✗ B. The LLC formation fee: one-time
✗ C. The first sign printed for opening: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-F1-Q3 · question page 896

ENT.COST.01 · Apply it: list and total first-year costs

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over the first year?

**Answer: C.** B, at 300 dollars

A: 300 + 120 = 420; B: 25 x 12 = 300.

- ✗ A. A, at 420 dollars: A costs more
- ✗ B. They cost the same: they differ
- ✗ D. A, at 300 dollars: forgot A's monthly fee

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F1-Q4 · question page 897

ENT.COST.01 · Apply it: list and total first-year costs

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over 3 years (36 months)?

**Answer: B.** A, at 660 dollars

A: 300 + 10 x 36 = 660; B: 25 x 36 = 900.

- ✗ A. B, at 300 dollars: only one year
- ✗ C. B, at 900 dollars: B costs more by year 3
- ✗ D. They cost the same: they differ

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F1-Q5 · question page 898

ENT.COST.01 · Apply it: list and total first-year costs

A tutor lists costs: whiteboard (once), monthly ads, yearly license, textbooks (once). How many are recurring?

**Answer: A.** 2

Monthly ads and yearly license recur.

- ✗ B. 4: counted all
- ✗ C. 1: missed one
- ✗ D. 3: counted a one-time cost

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F2-Q1 · question page 899

ENT.COST.01 · Handle the complications: hidden recurring costs

A "free" app charges 15 dollars a month after a 3-month trial. What is the cost in the first year?

**Answer: D.** 135 dollars

9 paid months x 15 = 135 dollars.

- ✗ A. 45 dollars: counted trial months
- ✗ B. 0 dollars: ignored charges after the trial
- ✗ C. 180 dollars: ignored the trial

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F2-Q2 · question page 900

ENT.COST.01 · Handle the complications: hidden recurring costs

An owner budgets the startup laptop but forgets a yearly antivirus renewal. What kind of cost was missed?

**Answer: A.** A recurring cost

Renewals recur.

- ✗ B. An owner draw: not a draw
- ✗ C. A customer refund: not a refund
- ✗ D. A one-time cost: it repeats yearly

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-F2-Q3 · question page 901

ENT.COST.01 · Handle the complications: hidden recurring costs

A piece of equipment lasts about 3 years and costs 900 dollars. To plan for replacing it, about how much should be set aside each month?

**Answer: C.** 25 dollars

900 / 36 months = 25 dollars.

- ✗ A. 300 dollars: per year, not per month
- ✗ B. 900 dollars: not spread out
- ✗ D. 75 dollars: divided by 12 only

Arithmetic checked by code: yes. Sources: none (stable)

---

## S43-F2-Q4 · question page 902

ENT.COST.01 · Handle the complications: hidden recurring costs

Which item is easiest to forget when listing recurring costs?

**Answer: C.** Small subscriptions that renew automatically

Auto-renewals hide easily.

- ✗ A. The first batch of business cards: one-time
- ✗ B. The rent check the owner writes on the first of every month: usually remembered
- ✗ D. The large oven bought on day one: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S43-F2-Q5 · question page 903

ENT.COST.01 · Handle the complications: hidden recurring costs

Which statement is accurate?

**Answer: D.** A one-time cost today can lead to recurring costs later, like repairs.

Plan for follow-on costs.

- ✗ A. All costs are recurring.: not true
- ✗ B. One-time costs never lead to other costs.: not always
- ✗ C. Recurring costs can safely be ignored by small businesses that are new.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

## S44-M-Q1 · question page 905

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a variable cost for a bakery?

**Answer: B.** Flour used for each batch of bread

Ingredients rise with sales.

- ✗ A. The monthly accounting software plan: fixed
- ✗ C. Monthly rent for the bakery building: fixed
- ✗ D. Yearly insurance for the shop: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-M-Q2 · question page 906

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a fixed cost for an online T-shirt shop?

**Answer: D.** A monthly website plan

The plan stays the same each month.

- ✗ A. Payment fees taken from each sale: variable
- ✗ B. Blank shirts bought for each order: variable
- ✗ C. Shipping paid on each package: variable

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-M-Q3 · question page 907

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Using the candle example, what does it cost to make 50 candles in a month?

**Answer: A.** 700 dollars

500 + 4 x 50 = 700 dollars.

✗ B. 900 dollars: used 100 candles

✗ C. 500 dollars: left out wax and jars

✗ D. 200 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-M-Q4 · question page 908

ENT.COST.02 · Classify fixed and variable costs and compute total cost

If the candle maker sells nothing in a month, what is the total cost?

**Answer: C.** 500 dollars

Fixed costs remain even with no sales.

✗ A. 0 dollars: rent is still due

✗ B. 504 dollars: added one candle

✗ D. 4 dollars: one candle

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-M-Q5 · question page 909

ENT.COST.02 · Classify fixed and variable costs and compute total cost

What happens to variable costs when sales double?

**Answer: D.** They roughly double

Variable costs follow volume.

✗ A. They fall to zero: no

✗ B. They stay exactly the same: that describes fixed

✗ C. They are cut in half: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-B1-Q1 · question page 910

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 100, cost per item 2, items 30. What is the total?

**Answer: C.** 160

100 + 2 x 30 = 160.

- ✗ A. 60: left out fixed
- ✗ B. 3,060: added first
- ✗ D. 132: added all three

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-B1-Q2 · question page 911

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Which step comes first in "fixed + rate x quantity"?

**Answer: B.** Multiply rate by quantity

Multiplication before addition.

- ✗ A. Subtract quantity: not a step
- ✗ C. Divide by fixed: not a step
- ✗ D. Add the fixed cost and the rate: wrong order

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-B1-Q3 · question page 912

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 300, cost per item 5, items 20. What is the total?

**Answer: A.** 400

300 + 5 x 20 = 400.

- ✗ B. 325: added all
- ✗ C. 6,100: added first
- ✗ D. 100: left out fixed

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-B1-Q4 · question page 913

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 50, cost per item 10, items 0. What is the total?

**Answer: B.** 50

50 + 10 x 0 = 50.

- ✗ A. 0: fixed remains
- ✗ C. 500: multiplied fixed
- ✗ D. 60: added rate

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-B1-Q5 · question page 914

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 250, cost per item 1.50, items 100. What is the total?

**Answer: A.** 400

250 + 1.50 x 100 = 400.

- ✗ B. 150: left out fixed
- ✗ C. 25,150: added first
- ✗ D. 351.50: added the rate to items

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-F1-Q1 · question page 915

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A soap maker pays 300 dollars a month for a studio and 2 dollars of supplies per bar. What is the cost for 200 bars?

**Answer: C.** 700 dollars

300 + 2 x 200 = 700 dollars.

- ✗ A. 302 dollars: one bar
- ✗ B. 500 dollars: used 100 bars
- ✗ D. 400 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-F1-Q2 · question page 916

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A soap maker pays 300 dollars a month for a studio, which does not change with output, and 2 dollars of supplies per bar. How much more does it cost to make 300 bars than 200 bars?

**Answer: D.** 200 dollars

Only variable cost changes: 2 x 100 = 200 dollars.

- ✗ A. 900 dollars: total for 300
- ✗ B. 100 dollars: used 1 dollar per bar
- ✗ C. 300 dollars: added rent again

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-F1-Q3 · question page 917

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

Which cost is variable for a mobile car wash?

**Answer: B.** Soap and water used per car

Supplies rise with each wash.

- ✗ A. Yearly business license: fixed
- ✗ C. The van loan payment: fixed
- ✗ D. Monthly phone plan: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-F1-Q4 · question page 918

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A dog walker has 60 dollars a month of fixed costs and 1 dollar of variable cost per walk. In a month with 80 walks, what is the average cost per walk?

**Answer: A.** 1.75 dollars

(60 + 80) / 80 = 1.75 dollars.

- ✗ B. 140 dollars: total cost
- ✗ C. 1.00 dollar: ignored fixed costs
- ✗ D. 0.75 dollars: only fixed per walk

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-F1-Q5 · question page 919

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

When sales rise, what happens to the fixed cost per item?

**Answer: C.** It goes down

The same fixed cost is shared by more items.

- ✗ A. It becomes variable: still fixed
- ✗ B. It goes up: spread over more items
- ✗ D. It stays exactly the same: per-item share changes

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-F2-Q1 · question page 920

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A baker's rent is fixed, but if sales triple she must rent a second oven. What does this show?

**Answer: D.** Fixed costs can step up at higher volumes

Capacity limits create steps.

- ✗ A. Ovens are variable costs that rise with each loaf: not per loaf

✗ B. Fixed costs never change at all: they can step up

✗ C. Rent is a variable cost: still fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-F2-Q2 · question page 921

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A shipping service charges 5 dollars per package up to 100 packages, then 4 dollars per package after that. What is the cost for 150 packages?

**Answer: C.** 700 dollars

100 x 5 + 50 x 4 = 700 dollars.

✗ A. 200 dollars: only the extra

✗ B. 750 dollars: used 5 dollars for all

✗ D. 600 dollars: used 4 dollars for all

Arithmetic checked by code: yes. Sources: none (stable)

---

## S44-F2-Q3 · question page 922

ENT.COST.02 · Handle the complications: costs that do not fit neatly

An owner counts her own hours as free. What cost is missing?

**Answer: C.** The value of her time

Owner time has value even if unpaid.

✗ A. Supplies used for each item: counted

✗ B. Rent: counted

✗ D. Shipping: counted

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-F2-Q4 · question page 923

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A phone bill is 40 dollars a month plus overage charges in busy months. How should it be

planned?

**Answer: B.** As mostly fixed with a variable part

Some costs are mixed.

- ✗ A. As a one-time cost: recurring
- ✗ C. As a fully variable cost for each sale: mostly fixed
- ✗ D. As free: it costs money

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S44-F2-Q5 · question page 924

ENT.COST.02 · Handle the complications: costs that do not fit neatly

Which statement is accurate?

**Answer: C.** Classifying costs is an estimate that helps planning, not an exact law.

Use classification as a tool.

- ✗ A. Fixed costs are always larger than variable costs.: depends
- ✗ B. Every single cost is either perfectly fixed or perfectly variable, always.: some are mixed
- ✗ D. Variable costs never matter for small sellers.: they matter

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-M-Q1 · question page 926

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is a contingency in a budget?

**Answer: B.** Extra money set aside for surprises

It covers unexpected costs.

- ✗ A. Money owed to customers for refunds: not the meaning
- ✗ C. A tax paid to the state each month: not the meaning

✗ D. The owner's profit for the first year: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-M-Q2 · question page 927

ENT.COST.03 · Build a startup budget with assumptions and contingency

Why include several months of recurring costs?

**Answer: D.** Sales often start slowly

Early months may not cover costs.

✗ A. It makes the budget look smaller: it makes it larger
✗ B. Banks require exactly twelve months listed: not a rule
✗ C. Recurring costs are paid only once: they repeat

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-M-Q3 · question page 928

ENT.COST.03 · Build a startup budget with assumptions and contingency

One-time costs are 2,000 dollars and 3 months of recurring costs are 900 dollars. A 10 percent contingency is added. What is the total budget?

**Answer: C.** 3,190 dollars

2,900 x 1.10 = 3,190 dollars.

✗ A. 3,100 dollars: contingency on one-time only
✗ B. 2,900 dollars: no contingency
✗ D. 2,990 dollars: added 90 only

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-M-Q4 · question page 929

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is an assumption in a budget?

**Answer: B.** A stated guess, like "rent stays 400 dollars a month"

Assumptions can be checked later.

- ✗ A. A tax form filed with the IRS: a filing
- ✗ C. A receipt from a supplier: a record
- ✗ D. A cost the owner has already paid in full to a supplier: not a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-M-Q5 · question page 930

ENT.COST.03 · Build a startup budget with assumptions and contingency

A budget totals 5,000 dollars and the owner has 4,200 dollars. What is the gap?

**Answer: B.** 800 dollars

5,000 - 4,200 = 800 dollars.

- ✗ A. 9,200 dollars: added
- ✗ C. 5,000 dollars: the budget
- ✗ D. 4,200 dollars: money available

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-B1-Q1 · question page 931

ENT.COST.03 · Finding a percent of an amount

What is 10 percent of 500?

**Answer: C.** 50

0.10 x 500 = 50.

- ✗ A. 5: moved two places
- ✗ B. 5,000: multiplied by 10
- ✗ D. 510: added 10

Arithmetic checked by code: yes. Sources: none (stable)

## S45-B1-Q2 · question page 932

ENT.COST.03 · Finding a percent of an amount

15 percent as a decimal is what?

**Answer: D.** 0.15

15 / 100 = 0.15.

- ✗ A. 0.015: three places
- ✗ B. 1.5: one place
- ✗ C. 15.0: not converted

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-B1-Q3 · question page 933

ENT.COST.03 · Finding a percent of an amount

What is 500 increased by 10 percent?

**Answer: A.** 550

500 x 1.10 = 550.

- ✗ B. 510: added 10
- ✗ C. 5,000: multiplied by 10
- ✗ D. 50: only the percent

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-B1-Q4 · question page 934

ENT.COST.03 · Finding a percent of an amount

What is 5 percent of 2,000?

**Answer: D.** 100

0.05 x 2,000 = 100.

✗ A. 2,005: added 5

✗ B. 400: divided by 5

✗ C. 10: moved too far

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-B1-Q5 · question page 935

ENT.COST.03 · Finding a percent of an amount

What is 20 percent of 150?

**Answer: A.** 30

0.20 x 150 = 30.

✗ B. 3: moved too far

✗ C. 170: added 20

✗ D. 7.5: divided by 20

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-F1-Q1 · question page 936

ENT.COST.03 · Apply it: check a draft budget

Ida's budget: equipment 1,500, first inventory 800, 3 months of rent at 350, no contingency. What is missing?

**Answer: D.** A contingency for surprises

No buffer is included.

✗ A. The cost of the first inventory: listed

✗ B. Rent: listed

✗ C. The equipment cost: listed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-F1-Q2 · question page 937

ENT.COST.03 · Apply it: check a draft budget

Ida's budget: equipment 1,500 dollars, first inventory 800 dollars, and 3 months of rent at 350 dollars. What is the total before any contingency?

**Answer: B.** 3,350 dollars

1,500 + 800 + 3 x 350 = 3,350 dollars.

- ✗ A. 2,300 dollars: no rent
- ✗ C. 4,400 dollars: six months of rent
- ✗ D. 2,650 dollars: one month of rent

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-F1-Q3 · question page 938

ENT.COST.03 · Apply it: check a draft budget

If Ida adds a 15 percent contingency to 3,350 dollars, what is the new total?

**Answer: D.** 3,852.50 dollars

3,350 x 1.15 = 3,852.50 dollars.

- ✗ A. 3,365 dollars: added 15
- ✗ B. 3,850 dollars: rounded too early
- ✗ C. 502.50 dollars: only the contingency

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-F1-Q4 · question page 939

ENT.COST.03 · Apply it: check a draft budget

An assumption says "supplies cost 2 dollars per unit." The supplier now charges 2.40 dollars. What should Ida do?

**Answer: A.** Update the assumption and recalculate

Budgets improve when assumptions are checked.

- ✗ B. Delete the supplies line: cost still exists
- ✗ C. Keep the old number; budgets never change: outdated

✗ D. Double every cost to be safe: not justified

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-F1-Q5 · question page 940

ENT.COST.03 · Apply it: check a draft budget

Which budget is most realistic for a new café?

**Answer: C.** One with equipment, several months of costs and a buffer

Completeness and buffers matter.

✗ A. One with no rent listed, because the first rent is due later: still due
✗ B. One listing only the espresso machine: incomplete
✗ D. One assuming full sales on day one: unrealistic

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-F2-Q1 · question page 941

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget needs 6,000 dollars; the owner has 4,500. Which option keeps risk lowest?

**Answer: B.** Start smaller and cut nonessential costs

Reducing scope fits the available money.

✗ A. Borrow at a high rate without a repayment plan: adds risk
✗ C. Skip rent payments for a while: harmful
✗ D. Remove the contingency and hope: adds risk

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-F2-Q2 · question page 942

ENT.COST.03 · Handle the complications: tight money and changing plans

An owner's contingency is 5 percent but her equipment is old and breaks often. What should she consider?

**Answer: D.** A larger contingency

Risky situations need bigger buffers.

- ✗ A. Assuming nothing will break: unrealistic
- ✗ B. No contingency at all: adds risk
- ✗ C. Removing equipment from the budget: still needed

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S45-F2-Q3 · question page 943

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget used last year's prices. Prices rose about 8 percent. A 2,500-dollar line becomes about how much?

**Answer: C.** 2,700 dollars

2,500 x 1.08 = 2,700 dollars.

- ✗ A. 2,508 dollars: added 8
- ✗ B. 3,300 dollars: added 800
- ✗ D. 200 dollars: only the increase

Arithmetic checked by code: yes. Sources: none (stable)

---

## S45-F2-Q4 · question page 944

ENT.COST.03 · Handle the complications: tight money and changing plans

Which mistake makes a budget look better than reality?

**Answer: B.** Leaving out the owner's living costs while sales are slow

Personal needs affect how long the owner can last.

- ✗ A. Including a buffer: helpful
- ✗ C. Writing down each assumption clearly: helpful
- ✗ D. Listing recurring costs for several months ahead of time: helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

## S45-F2-Q5 · question page 945

ENT.COST.03 · Handle the complications: tight money and changing plans

Which statement is accurate?

**Answer: D.** A budget is a plan to update as real numbers arrive.

Update as you learn.

- ✗ A. Budgets are only useful for large companies with many staff.: all benefit
- ✗ B. A budget is fixed and never changes.: should be updated
- ✗ C. A budget guarantees profit.: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S46-M-Q1 · question page 947

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 50 bracelets uses 75 dollars of beads and string. What is the cost per bracelet?

**Answer: C.** 1.50 dollars

75 / 50 = 1.50 dollars.

- ✗ A. 3.75 dollars: divided wrongly
- ✗ B. 75.00 dollars: not divided
- ✗ D. 0.67 dollars: divided 50 by 75

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-M-Q2 · question page 948

ENT.PRICE.01 · Compute cost per item and compare it with price

The cookie cost per item is 0.60 dollars. The price is 1.50 dollars. What does each sale contribute?

**Answer: D.** 0.90 dollars

1.50 - 0.60 = 0.90 dollars.

✗ A. 0.60 dollars: the cost

✗ B. 1.50 dollars: the price

✗ C. 2.10 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-M-Q3 · question page 949

ENT.PRICE.01 · Compute cost per item and compare it with price

What happens if the price is below the cost per item?

**Answer: B.** Each sale loses money

Price must exceed unit cost.

✗ A. Fixed costs disappear: no

✗ C. Each sale makes more profit than before: not true

✗ D. Nothing changes at all: losses grow

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S46-M-Q4 · question page 950

ENT.PRICE.01 · Compute cost per item and compare it with price

Which should be included in cost per item for a candle?

**Answer: A.** Wax, wick, jar and label

Include everything the item uses.

✗ B. The owner's personal groceries: not a business cost

✗ C. Only the label, since customers see it: incomplete

✗ D. Only the wax, since it is the main material: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S46-M-Q5 · question page 951

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 20 cards costs 8 dollars of paper and 2 dollars of envelopes. What is the cost per card?

**Answer: B.** 0.50 dollars

(8 + 2) / 20 = 0.50 dollars.

- ✗ A. 10.00 dollars: not divided
- ✗ C. 0.40 dollars: paper only
- ✗ D. 0.10 dollars: envelopes only

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-B1-Q1 · question page 952

ENT.PRICE.01 · Dividing a total among items

24 dollars for 8 items. What is the cost per item?

**Answer: C.** 3 dollars

24 / 8 = 3.

- ✗ A. 0.33 dollars: divided 8 by 24
- ✗ B. 16 dollars: subtracted
- ✗ D. 192 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-B1-Q2 · question page 953

ENT.PRICE.01 · Dividing a total among items

How do you check 2.50 dollars per item for 12 items?

**Answer: C.** Multiply 2.50 by 12 to get 30

Multiplying back checks the division.

- ✗ A. Subtract 12 from 30 and compare: not a check
- ✗ B. Divide 12 by 2.50: not a check
- ✗ D. Add 2.50 and 12: not a check

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S46-B1-Q3 · question page 954

ENT.PRICE.01 · Dividing a total among items

45 dollars for 10 items. What is the cost per item?

**Answer: A.** 4.50 dollars

45 / 10 = 4.50.

- ✗ B. 0.22 dollars: divided wrong way
- ✗ C. 35 dollars: subtracted
- ✗ D. 450 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-B1-Q4 · question page 955

ENT.PRICE.01 · Dividing a total among items

12 dollars of ingredients plus 3 dollars of boxes for 30 items. What is the cost per item?

**Answer: B.** 0.50 dollars

(12 + 3) / 30 = 0.50.

- ✗ A. 0.40 dollars: ingredients only
- ✗ C. 0.10 dollars: boxes only
- ✗ D. 15 dollars: not divided

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-B1-Q5 · question page 956

ENT.PRICE.01 · Dividing a total among items

A result of 240 dollars per item from a 60-dollar batch of 4 is a sign of what?

**Answer: B.** Multiplying instead of dividing

60 x 4 = 240 is the mistake.

✗ A. A missing item: no

✗ C. A correct answer for the batch: 60 / 4 = 15

✗ D. A cheap batch: no

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F1-Q1 · question page 957

ENT.PRICE.01 · Apply it: set a price that covers cost

A tote bag costs 6 dollars to make. Which price at least covers the cost per item?

**Answer: D.** 9 dollars

9 > 6.

✗ A. 4 dollars: below cost

✗ B. 5.50 dollars: below cost

✗ C. 5 dollars: below cost

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F1-Q2 · question page 958

ENT.PRICE.01 · Apply it: set a price that covers cost

A baker makes 24 muffins with 18 dollars of ingredients and 6 dollars of liners and boxes. She prices muffins at 2 dollars. What does each muffin contribute?

**Answer: A.** 1.00 dollar

Cost = 24 / 24 = 1.00; 2.00 - 1.00 = 1.00.

✗ B. 1.25 dollars: ingredients only

✗ C. 2.00 dollars: the price

✗ D. 0.75 dollars: cost per item

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F1-Q3 · question page 959

ENT.PRICE.01 · Apply it: set a price that covers cost

A printer charges 0.80 dollars per sticker plus 10 dollars per order. An order of 100 stickers costs how much per sticker?

**Answer: B.** 0.90 dollars

(0.80 x 100 + 10) / 100 = 0.90 dollars.

- ✗ A. 0.10 dollars: only the order fee
- ✗ C. 90 dollars: total cost
- ✗ D. 0.80 dollars: left out order fee

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F1-Q4 · question page 960

ENT.PRICE.01 · Apply it: set a price that covers cost

A seller forgot the 0.30-dollar label on each 2-dollar item. What is the true cost per item?

**Answer: C.** 2.30 dollars

2.00 + 0.30 = 2.30 dollars.

- ✗ A. 1.70 dollars: subtracted
- ✗ B. 2.00 dollars: forgot the label
- ✗ D. 0.30 dollars: label only

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F1-Q5 · question page 961

ENT.PRICE.01 · Apply it: set a price that covers cost

Two suppliers: A sells 100 jars for 120 dollars; B sells 60 jars for 66 dollars. Which is cheaper per jar?

**Answer: A.** B, at 1.10 dollars

A: 1.20; B: 66 / 60 = 1.10.

- ✗ B. They cost the same: they differ
- ✗ C. A, at 1.10 dollars: mixed up

✗ D. A, at 1.20 dollars: A is higher

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F2-Q1 · question page 962

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A baker makes 40 cookies but 4 break and cannot be sold. Ingredients cost 20 dollars. What is the cost per SOLD cookie, to the nearest cent?

**Answer: A.** 0.56 dollars

20 / 36 = 0.555... about 0.56.

✗ B. 5.00 dollars: divided by 4
✗ C. 0.50 dollars: divided by 40
✗ D. 0.45 dollars: divided by 44

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F2-Q2 · question page 963

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A supplier requires a minimum order of 500 labels for 50 dollars, but the owner needs only 100 this month. What is the purchase cost per label?

**Answer: B.** 0.10 dollars

50 / 500 = 0.10 dollars per label. The 100 labels used this month cost 100 x 0.10 = 10 dollars; the other 400 stay in stock.

✗ A. 50 dollars: did not divide
✗ C. 0.50 dollars: divided by the 100 used, not the 500 bought
✗ D. 5.00 dollars: divided 50 by 10

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F2-Q3 · question page 964

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Ingredient prices rose 10 percent, raising cost per item from 2.00 to 2.20 dollars. Price stays 3.00 dollars. What is the new contribution per item?

**Answer: D.** 0.80 dollars

3.00 - 2.20 = 0.80 dollars.

- ✗ A. 0.20 dollars: the increase
- ✗ B. 2.20 dollars: the new cost
- ✗ C. 1.00 dollar: old contribution

Arithmetic checked by code: yes. Sources: none (stable)

---

## S46-F2-Q4 · question page 965

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A seller computes cost per item but forgets shipping supplies used on every order. What happens?

**Answer: D.** The price may look profitable when it is not

Missing costs inflate apparent margin.

- ✗ A. Costs are overestimated by the seller: underestimated
- ✗ B. Nothing changes: costs are missing
- ✗ C. Taxes disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S46-F2-Q5 · question page 966

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Which statement is accurate?

**Answer: B.** Cost per item should be rechecked when supplier prices or waste change.

Recalculate when inputs change.

- ✗ A. Cost per item is calculated once at the start and never changes after

that.: it can change

✗ C. Waste never affects cost.: it does

✗ D. Only fixed costs matter for price.: unit cost matters

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-M-Q1 · question page 968

ENT.CASH.01 · Distinguish revenue, profit and cash

What is revenue?

**Answer: A.** Money earned from customers before costs

Revenue is total sales.

✗ B. Money borrowed from a bank loan: not earned

✗ C. Money left after paying every expense: that is profit

✗ D. Money sitting in the bank right now: that is cash

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-M-Q2 · question page 969

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 4,000 dollars and expenses are 3,100 dollars. What is the profit?

**Answer: B.** 900 dollars

4,000 - 3,100 = 900 dollars.

✗ A. 3,100 dollars: expenses

✗ C. 7,100 dollars: added

✗ D. 4,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-M-Q3 · question page 970

ENT.CASH.01 · Distinguish revenue, profit and cash

How can a business show a profit but have little cash?

**Answer: D.** Customers have not paid their invoices yet

Unpaid invoices and inventory tie up cash.

- ✗ A. Expenses are counted twice: not the reason
- ✗ B. Profit always equals cash in the bank: not always
- ✗ C. Revenue is always zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-M-Q4 · question page 971

ENT.CASH.01 · Distinguish revenue, profit and cash

What is cash?

**Answer: D.** Money actually available in the account

Cash is what you can spend now.

- ✗ A. Sales minus costs on paper for the month: profit
- ✗ B. All sales ever made: revenue
- ✗ C. The value of the logo: not cash

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-M-Q5 · question page 972

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 2,000 dollars and expenses are 2,300 dollars. What is the result?

**Answer: D.** A loss of 300 dollars

2,000 - 2,300 = -300.

- ✗ A. A loss of 2,000 dollars: revenue only
- ✗ B. A profit of 300 dollars: wrong sign
- ✗ C. A profit of 4,300 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-B1-Q1 · question page 973

ENT.CASH.01 · A lemonade stand's day

The stand's revenue is what?

**Answer: B.** 30 dollars

30 cups x 1 dollar.

- ✗ A. 12 dollars: profit
- ✗ C. 18 dollars: costs
- ✗ D. 25 dollars: cash from sales

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-B1-Q2 · question page 974

ENT.CASH.01 · A lemonade stand's day

The stand's profit is what?

**Answer: C.** 12 dollars

30 - 18 = 12.

- ✗ A. 48 dollars: added
- ✗ B. 18 dollars: costs
- ✗ D. 30 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-B1-Q3 · question page 975

ENT.CASH.01 · A lemonade stand's day

Why is there only 25 dollars of sales cash?

**Answer: C.** A neighbor will pay tomorrow

An unpaid sale is not yet cash.

✗ A. Profit for the day was negative: no

✗ B. Lemons were free: no

✗ D. Cups were stolen: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-B1-Q4 · question page 976

ENT.CASH.01 · A lemonade stand's day

"What is in the box" means which word?

**Answer: D.** Cash

Cash is what you hold.

✗ A. Expenses: costs

✗ B. Profit: after costs

✗ C. Revenue: sold

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-B1-Q5 · question page 977

ENT.CASH.01 · A lemonade stand's day

"What is left after costs" means which word?

**Answer: A.** Profit

Profit is after costs.

✗ B. Cash: in the box

✗ C. Sales: revenue

✗ D. Revenue: before costs

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F1-Q1 · question page 978

ENT.CASH.01 · Apply it: read a month's results

A photographer did and billed 5,000 dollars of work in May. May expenses were 2,200 dollars. Clients have paid 3,500 dollars so far. Using accrual accounting (income counted when earned), what is the May profit?

**Answer: C.** 2,800 dollars

5,000 - 2,200 = 2,800 dollars.

- ✗ A. 1,300 dollars: used cash received
- ✗ B. 3,500 dollars: cash received
- ✗ D. 5,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-F1-Q2 · question page 979

ENT.CASH.01 · Apply it: read a month's results

The photographer collected 3,500 dollars from clients and paid 2,200 dollars of expenses in May. What is cash received minus expenses paid?

**Answer: B.** 1,300 dollars

3,500 - 2,200 = 1,300 dollars.

- ✗ A. 1,500 dollars: unpaid invoices
- ✗ C. 2,800 dollars: profit
- ✗ D. 5,700 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-F1-Q3 · question page 980

ENT.CASH.01 · Apply it: read a month's results

A shop spends 3,000 dollars on inventory it will sell next month. This month's cash drops. What happened to the money?

**Answer: A.** It turned into goods waiting to be sold

Inventory ties up cash.

- ✗ B. It was paid as taxes: not stated

✗ C. It disappeared: it became inventory

✗ D. It became profit for the month right away: not yet sold

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F1-Q4 · question page 981

ENT.CASH.01 · Apply it: read a month's results

Which month shows revenue but a loss?

**Answer: A.** Revenue 1,800, expenses 2,100

1,800 - 2,100 = -300.

✗ B. Revenue 1,800, expenses 1,200: profit

✗ C. Revenue 0, expenses 0: no revenue

✗ D. Revenue 2,500, expenses 2,000: profit

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-F1-Q5 · question page 982

ENT.CASH.01 · Apply it: read a month's results

An owner says "We sold 10,000 dollars, so we have 10,000 dollars." What is wrong?

**Answer: C.** Sales are not cash or profit

Costs and timing differ.

✗ A. Revenue is a cost: no

✗ B. Sales should be doubled: no

✗ D. Nothing; revenue always equals cash: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F2-Q1 · question page 983

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Sales are rising fast, but the owner must buy materials 60 days before customers pay. What risk grows?

**Answer: C.** Running out of cash despite profits

Fast growth can drain cash.

- ✗ A. Taxes vanishing: no
- ✗ B. Revenue falling to zero: not implied
- ✗ D. Too much cash piling up in the bank: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F2-Q2 · question page 984

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business is profitable on paper but cannot pay rent this week. Which action helps soonest?

**Answer: A.** Collect overdue invoices

Collecting payments brings cash in.

- ✗ B. Ignore the rent notice: harmful
- ✗ C. Lower all prices: not immediate
- ✗ D. Buy more inventory today: uses more cash

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F2-Q3 · question page 985

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business made 12,000 dollars of profit this year, all received in cash. The owner took 9,000 dollars in draws and paid 4,000 dollars in cash for equipment. With no other adjustments, how did cash change?

**Answer: C.** Down 1,000 dollars

12,000 - 9,000 - 4,000 = -1,000.

- ✗ A. Down 13,000 dollars: ignored profit
- ✗ B. Up 3,000 dollars: ignored equipment
- ✗ D. Up 12,000 dollars: ignored uses

Arithmetic checked by code: yes. Sources: none (stable)

---

## S47-F2-Q4 · question page 986

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which number should an owner check before promising to pay a supplier on Friday?

**Answer: B.** Cash expected by Friday

Bills are paid with cash.

- ✗ A. Number of followers: irrelevant
- ✗ C. Total revenue for the year: not timing
- ✗ D. Profit last year: not timing

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S47-F2-Q5 · question page 987

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which statement is accurate?

**Answer: A.** A business needs profit over time and cash at every moment.

Track both.

- ✗ B. Profit and cash are always identical.: not true
- ✗ C. Cash never matters for businesses that are profitable on paper.: not true
- ✗ D. Revenue is the only number that matters.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-M-Q1 · question page 989

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the markup?

**Answer: B.** 60 percent

3 / 5 = 0.60.

✗ A. 3 percent: the dollar gap

✗ C. 37.5 percent: that is margin

✗ D. 160 percent: price over cost

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-M-Q2 · question page 990

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the margin?

**Answer: A.** 37.5 percent

3 / 8 = 0.375.

✗ B. 60 percent: that is markup

✗ C. 62.5 percent: cost over price

✗ D. 3 percent: the dollar gap

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-M-Q3 · question page 991

ENT.PRICE.02 · Compute markup and margin and tell them apart

Markup uses which base?

**Answer: C.** The cost

Markup divides by cost.

✗ A. The price: that is margin

✗ B. The tax rate: not the base

✗ D. The number sold: not the base

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-M-Q4 · question page 992

ENT.PRICE.02 · Compute markup and margin and tell them apart

For an item with a positive cost sold above cost, which percentage is larger?

**Answer: D.** Markup

Dividing by the smaller cost gives a larger percent.

- ✗ A. It depends on the tax rate: not related
- ✗ B. Margin: smaller base wins
- ✗ C. They are always equal: not equal

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-M-Q5 · question page 993

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 20 dollars, a 50 percent markup. What is the price?

**Answer: C.** 30 dollars

20 x 1.50 = 30.

- ✗ A. 25 dollars: 25 percent markup
- ✗ B. 40 dollars: 100 percent markup
- ✗ D. 10 dollars: the markup alone

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-B1-Q1 · question page 994

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 2 of 8?

**Answer: B.** 25 percent

2 / 8 = 0.25.

- ✗ A. 4 percent: divided 8 by 2
- ✗ C. 400 percent: reversed
- ✗ D. 2 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-B1-Q2 · question page 995

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 6 of 10?

**Answer: A.** 60 percent

6 / 10 = 0.60.

- ✗ B. 167 percent: reversed
- ✗ C. 6 percent: not converted
- ✗ D. 16 percent: added

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-B1-Q3 · question page 996

ENT.PRICE.02 · Writing a part as a percent of a whole

In "3 is what percent of 12?", which number is the base?

**Answer: D.** 12

The base is "of what."

- ✗ A. 3: the part
- ✗ B. 100: not the base
- ✗ C. 15: added

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-B1-Q4 · question page 997

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 5 of 20?

**Answer: B.** 25 percent

5 / 20 = 0.25.

✗ A. 5 percent: not divided

✗ C. 4 percent: reversed

✗ D. 20 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-B1-Q5 · question page 998

ENT.PRICE.02 · Writing a part as a percent of a whole

Why do 3 / 4 and 3 / 12 give different percents?

**Answer: A.** The base is different

Different bases give different percents.

✗ B. One is wrong: both correct

✗ C. The part is different: same part

✗ D. Percents are random: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-B2-Q1 · question page 999

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Markup compares the gap with what?

**Answer: C.** What you paid

Markup uses cost.

✗ A. The tax: no

✗ B. The customer: no

✗ D. The price tag: margin

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-B2-Q2 · question page 1000

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Margin compares the gap with what?

**Answer: D.** The price tag

Margin uses price.

- ✗ A. What you paid: markup
- ✗ B. The rent: no
- ✗ C. The weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-B2-Q3 · question page 1001

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

In the example, what is the dollar gap?

**Answer: A.** 4 dollars

10 - 6 = 4.

- ✗ B. 10 dollars: price
- ✗ C. 16 dollars: added
- ✗ D. 6 dollars: cost

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-B2-Q4 · question page 1002

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

"How much of the price tag do I keep?" is which idea?

**Answer: C.** Margin

Margin is the share of price kept.

- ✗ A. Cash: money on hand
- ✗ B. Markup: uses cost
- ✗ D. Revenue: total sales

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-B2-Q5 · question page 1003

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Does the dollar gap change between markup and margin?

**Answer: D.** No, only the comparison changes

The base changes, not the gap.

- ✗ A. Yes, it halves: no
- ✗ B. Yes, it becomes zero for margin: no
- ✗ C. Yes, it doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-F1-Q1 · question page 1004

ENT.PRICE.02 · Apply it: price with a target markup or margin

A reseller buys mugs for 8 dollars and wants a 40 percent margin. What price works, to the nearest cent?

**Answer: B.** 13.33 dollars

Price = cost / (1 - 0.40) = 8 / 0.60 = 13.33.

- ✗ A. 12.00 dollars: added 4
- ✗ C. 3.20 dollars: the markup
- ✗ D. 11.20 dollars: used 40 percent markup

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F1-Q2 · question page 1005

ENT.PRICE.02 · Apply it: price with a target markup or margin

An owner adds a 40 percent markup to a cost of 8 dollars, thinking it gives a 40 percent margin. What margin does she actually get, to one decimal place?

**Answer: C.** 28.6 percent

Price 11.20; gap 3.20; 3.20 / 11.20 = 0.286.

- ✗ A. 11.2 percent: price as percent
- ✗ B. 40 percent: the mistake
- ✗ D. 60 percent: one minus 40

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F1-Q3 · question page 1006

ENT.PRICE.02 · Apply it: price with a target markup or margin

Cost 12 dollars, price 20 dollars. What is the margin?

**Answer: D.** 40 percent

8 / 20 = 0.40.

- ✗ A. 8 percent: the dollar gap
- ✗ B. 67 percent: markup
- ✗ C. 60 percent: cost over price

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F1-Q4 · question page 1007

ENT.PRICE.02 · Apply it: price with a target markup or margin

A supplier says "Industry margin is 50 percent." Item cost is 15 dollars. What price gives a 50 percent margin?

**Answer: A.** 30 dollars

15 / 0.50 = 30.

- ✗ B. 22.50 dollars: 50 percent markup
- ✗ C. 15 dollars: no margin
- ✗ D. 7.50 dollars: half of cost

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F1-Q5 · question page 1008

ENT.PRICE.02 · Apply it: price with a target markup or margin

Which statement is correct for cost 6, price 10?

**Answer: B.** Markup is about 67 percent and margin is 40 percent

Markup 4/6; margin 4/10.

- ✗ A. Both are 4 percent: dollars, not percent
- ✗ C. Markup is 40 percent and margin is about 67 percent: reversed
- ✗ D. Both are 40 percent: not equal

Arithmetic checked by code: yes. Sources: none (stable)

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## S48-F2-Q1 · question page 1009

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

An item costs 10 dollars and sells for 20 dollars (50 percent margin). A 20 percent discount is offered. What is the new margin?

**Answer: B.** 37.5 percent

New price 16; gap 6; 6 / 16 = 0.375.

- ✗ A. 30 percent: subtracted 20 points
- ✗ C. 50 percent: ignored discount
- ✗ D. 20 percent: the discount

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F2-Q2 · question page 1010

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A payment fee takes 3 percent of a 50-dollar price. Item cost is 30 dollars. What is the margin after the fee?

**Answer: D.** 37 percent

Gap = 50 - 30 - 1.50 = 18.50; 18.50 / 50 = 0.37.

- ✗ A. 40 percent: ignored fee

✗ B. 43 percent: added the fee

✗ C. 3 percent: only the fee

Arithmetic checked by code: yes. Sources: none (stable)

---

## S48-F2-Q3 · question page 1011

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A business partner says "our markup is 25 percent" but means margin. Why does it matter?

**Answer: A.** Prices set from the wrong term can be too low

Confirm which base is meant.

✗ B. It never matters which word is used: it changes price

✗ C. Margin is only for taxes: not true

✗ D. Markup and margin are legally identical: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

---

## S48-F2-Q4 · question page 1012

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

Which mistake leads to a lower price than intended?

**Answer: A.** Using a markup percent when a margin percent was intended

Markup of the same percent gives a lower price.

✗ B. Using a margin percent when a margin percent was intended: correct

✗ C. Writing down the cost carefully: helpful

✗ D. Including packaging in cost: helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

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## S48-F2-Q5 · question page 1013

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

Which statement is accurate?